



Project Radcliffe Phase 2 - Due diligence

Deal advisory

—

April 14, 2021



Important notice

This report is provided to Navacord Corp. ("Client" or "You") on a confidential basis pursuant to our Engagement Letter dated December 14, 2020 (the "Engagement Agreement") and is subject in all respects to the terms and conditions of the Engagement Agreement, including restrictions on use of this report by third parties.

If this report is received by any party other than Client, the recipient is placed on notice that this report has been prepared solely for Client's benefit and its own use. KPMG LLP ("KPMG") does not authorize recipient or any other party to rely on this report and any such reliance shall be at recipient's sole risk. Therefore, KPMG shall have no liability or responsibility in respect of the advice, recommendations, or other information in this report to recipient or any other party other than Client. Further, this report and its contents may not be shared with or disclosed by the recipient to any party without the express written consent of Client and KPMG.

Our report makes reference to 'KPMG Analysis'; this indicates only that we have (where specified) undertaken certain analytical activities on the underlying data to arrive at the information presented; we do not accept responsibility for the underlying data.

The analysis of 'normalized'/'underlying' earnings and working capital is for indicative purposes only. We have sought to illustrate the effect on EBITDA/working capital of adjusting for those items identified in the course of our work that may be considered to be 'non-recurring' or 'exceptional'. However the selection and quantification of such adjustments is necessarily judgmental. Because there is no authoritative literature or common standard with respect to the calculation of 'normalized'/'underlying' earnings, working capital, there is no basis to state whether all necessary and comparable adjustments have been made. In addition, while the adjustments may indeed relate to items which are 'non-recurring' or 'exceptional' or otherwise unrepresentative of the trend, it is possible that earnings and working capital for future periods may be affected by such items, which may be different from the historical items.

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Private and confidential

Mr. Steven Ridgeway
Chief Financial Officer
145 Adelaide St. W, Suite 300
Toronto, ON M5H 4E5

April 14, 2021

Dear Mr. Ridgeway

We have completed our Phase II procedures to assist Navacord Corp. ("Client" or "you") in performing financial due diligence in connection with your prospective investment (the "Transaction") in AllWest Insurance Services Ltd. (the "Company" or "Target"), in accordance with the terms of our engagement letter dated December 14, 2020 and an amendment dated February 25, 2021, including its Terms and Conditions for Advisory and Tax Services.

Objective

The objective of our engagement was to assist you with your assessment of the risks and opportunities of your prospective acquisition of Target. Our work in this report was based on information provided by you and obtained in an electronic data room and discussions/meetings with Target Management. The primary scope of our engagement was to make inquiries and perform analyses based on information made available to us, directed toward those business activities and related financial data of interest to you.

Basis of Information

The engagement letter describes the procedures we were to perform and are attached herein in Appendix 1. Those procedures were selected by you and were limited in nature and extent to those that you determined best fit your needs. We make no representation regarding the sufficiency for your purposes of the procedures selected, and those procedures will not necessarily disclose all significant matters about Target or reveal errors in the underlying information, instances of fraud, or illegal acts, if any. This report was prepared by us on the basis that you provided us with all relevant information you received concerning Target.

The procedures we performed do not constitute an audit, examination or review in accordance with standards established by the Auditing and Assurance Standards Board ("AASB") in Canada, and we have not otherwise verified the information we obtained or presented in this report. We express no opinion or any other form of assurance on Target's internal control over financial reporting or on the information presented in our report, and make no representations concerning its accuracy or completeness.

We have not compiled, examined, or applied other procedures in accordance with the Assurance and Related Services Guidelines issued by the AASB to prospective information contained in this document and, accordingly, express no opinion or any other form of assurance or representations concerning the accuracy, completeness or presentation format of such prospective information. There will usually be differences between projected and actual results, because events and circumstances frequently do not occur as expected, and those differences may be material.

The data included in this report was obtained from you and/or Target from December 14, 2020 to April 14, 2021, inclusive. Since many aspects of the transaction with Target have either not been finalized or are not yet documented, changes may occur that materially affect the financial and other information we received and reported to you. We have no obligation to update our report or to revise the information contained herein to reflect events and transactions occurring subsequent to April 14, 2021. We have not reviewed this report with Target Management for the purpose of confirming the factual accuracy of the information we presented.

Because of its special nature, this report is not suited for any purpose other than to assist Client in its evaluation of Target and, as such and as agreed in the engagement letter, is restricted for your internal use only. Accordingly, KPMG does not accept any liability or responsibility to any third party who may use or place reliance on our report.

Yours truly,

KPMG LLP



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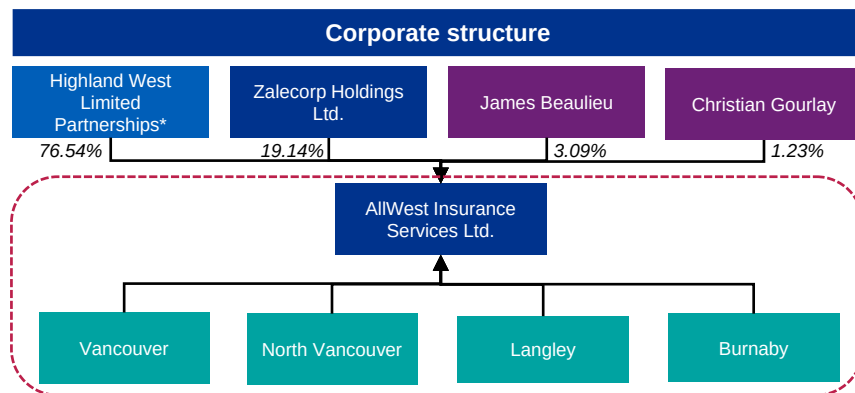
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Executive summary

Executive summary

Business Overview



Legend

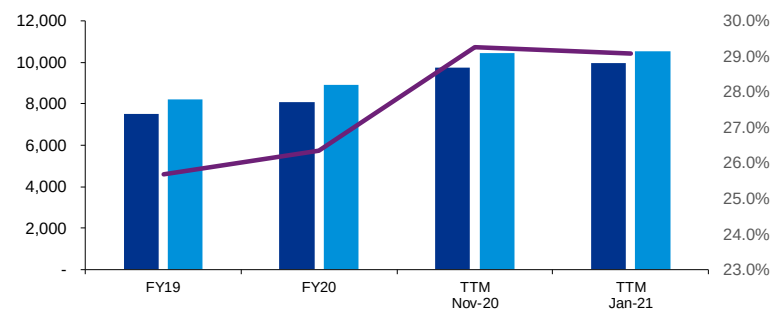
■ Individuals ■ Partnerships ■ Entities ■ Retail locations ■ Transaction Perimeter

* Includes the interests of both Highland West (AllWest) Investment Limited Partnership and Highland West (AllWest) Co-Invest Limited Partnership

Source: I.1 AllWest Legal Org Chart

Financial summary

Historical Results



■ EBITDA, reported (excl. Mgmt fees & FX) ■ EBITDA, VDD pro forma adjusted
 — EBITDA margin, VDD pro forma adjusted

Source: Management provided information, PwC VDD reports

Business overview

- AllWest Insurance Services Ltd. (the “Company” or “Target”) is a full-service insurance broker offering a wide range of insurance products. The Company is headquartered in Vancouver, British Columbia.
- The Company generates commissions revenue from the following sources:
 - Auto insurance
 - ICBC Autoplan: The Company is the leading ICBC Autoplan insurance broker in Vancouver, generating over 150,000 new and renewal policy transactions in FY20.
 - Private auto insurance: Extended liability coverage mainly issued through two key carriers: Family Insurance and Intact Insurance.
 - Auto replacement: Comprehensive vehicle replacement protection for purchased and leased cars provided by Option, a specialty management general underwriter and program administrator.
 - Property and casualty: Property and commercial products.
- The Company services over 120,000 unique customers through its multi-channel distribution model:
 - Dealers: Remote agents services over 80 vehicle dealerships, wholesalers and leasing companies.
 - Retail: Four retail branch locations located in the Lower Mainland which are all ranked in the Top 10 ICBC licenses in the provinces.
 - Door2Door delivery service: Provides customers with convenient access to create or renew their auto insurance policies.
 - Designated call centre: Located within the Burnaby branch location with 16 sales representatives to support cross-selling of P&C insurance offerings. Call and services volumes have increased during COVID-19 pandemic.
 - Online digital platform: Provides customers with access to their P&C coverage online.
- As at November 2020, the Company has 254 employees, 212 of which are licensed insurance agents. Current employee retention rate is ~84%.

Basis of preparation and sources of information

Basis of preparation	Sources of information	Key outstanding information
The information presented in this report reflects the financial information provided by Management for FY19, FY20, TTM Nov-20, and TTM Jan-21. This report includes findings from review of certain information concerning the Target, made available to us from December 14, 2020 to April 14, 2021. This document highlights key financial and tax issues and other areas to consider in your diligence of Target.	The primary sources of information used when preparing this document included, but were not limited to: ■ Reviewed FY19 and FY20 financial statements of the Company; ■ Monthly trial balances produced by the Company's accounting software from May 2018 to January 2021; ■ Vendor due diligence reports from PwC dated December 20, 2020 (from FY18 to TTM Sep-20), January 20, 2021 (rollforward to TTM Nov-20 period), and supplementary datapack received on March 22, 2021 (rollforward to TTM Jan-21 period). ■ Discussions held via conference calls with the Company's COO, VP Finance, Corporate Controller and PwC.	■ Pre-closing tax planning steps

Executive summary

Summary reported financial statements

The Company prepares annual financial statements in accordance with ASPE with a fiscal year end of April 30.

Information presented for FY19 and FY20 have been subject to a review by Smythe CPA, an external accounting firm based in Vancouver.

The YTD Nov-20 and YTD Jan-21 periods have not been subject to a review.

Income statement				
			TTM	
\$'000	FY19	FY20	Nov-20	Jan-21
Personal and Commercial	1,992	2,157	2,357	2,413
Auto (ICBC/Family/Intact)	22,642	25,105	27,065	27,463
Replacement cost (Optim)	6,750	6,211	5,883	5,878
Other (Life, agency fee, CPC)	535	471	474	502
Commissions	31,919	33,944	35,780	36,256
Other income	3	3	1	1
Revenue	31,922	33,947	35,780	36,256
Wages and employee benefits	(13,182)	(13,512)	(13,206)	(13,395)
Commissions	(5,273)	(5,721)	(6,395)	(6,574)
Advertising and promotion	(2,310)	(2,809)	(2,732)	(2,673)
Rent	(1,179)	(1,252)	(1,282)	(1,269)
Telephone	(448)	(494)	(454)	(465)
Office	(625)	(430)	(456)	(405)
Computer	(371)	(397)	(395)	(388)
Automotive	(245)	(274)	(287)	(280)
Bank charges	(221)	(233)	(249)	(252)
Professional fees	(125)	(131)	(172)	(256)
Bad debts	(51)	(172)	17	63
Insurance	(142)	(148)	(161)	(160)
License, dues and subscriptions	(86)	(108)	(117)	(127)
Travel	(121)	(99)	(54)	(42)
Utilities	(28)	(42)	(34)	(30)
Repairs and maintenance	(19)	(23)	(33)	(40)
Total Expenses	(24,428)	(25,846)	(26,009)	(26,295)
EBITDA (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
Management fees	(819)	(816)	(849)	(858)
Gain/losses (FX, interest rate swap, sale of property)	(393)	(330)	(336)	(336)
Depreciation & amortization	(334)	(339)	(416)	(449)
Net interest income/(expense)	(786)	(886)	(709)	(654)
Depreciation, Interest, Mgmt fees & FX	(2,332)	(2,371)	(2,310)	(2,296)
EBIT	5,161	5,731	7,461	7,665
Income Tax	(1,579)	(1,611)	(1,987)	(2,038)
Net Income	3,583	4,120	5,475	5,627

Source: Management provided information

Basis of presentation

The above operating results for the Company are based on the monthly trial balance information internally produced by the Company's accounting system. The majority of the analysis in this report is based on this information.

All figures are presented in CAD, unless otherwise noted.

Balance sheet				
	As At			
\$'000	30-Apr-19	30-Apr-20	30-Nov-20	31-Jan-21
Assets				
Cash and cash equivalents	1,342	1,476	3,390	3,187
Accounts receivable	4,792	3,995	4,506	4,111
Shareholder Loan	3	3	3	3
Prepaid expenses and deposits	174	216	177	167
Current Assets	6,311	5,691	8,075	7,467
Goodwill	26,477	26,477	26,477	26,477
Intangible assets	4,845	4,925	5,037	5,031
Property and equipment	1,153	1,205	1,156	1,128
Long Term Assets	32,475	32,607	32,670	32,636
Total Assets	38,786	38,297	40,745	40,104
Liabilities and Shareholder's fund				
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)
Deferred rent	(50)	(43)	(43)	(43)
Due to shareholder	-	-	-	-
Income Tax Payable	(43)	(134)	(663)	(557)
Current Liabilities	(5,039)	(5,255)	(6,771)	(6,075)
Banker's acceptance, net of deferred financing fees	(17,520)	(16,083)	(15,385)	(15,028)
Capital lease obligations	(757)	(551)	(426)	(390)
Revolving Loan - \$5.2M	-	(1,900)	-	-
Long Term Liabilities	(18,277)	(18,534)	(15,811)	(15,418)
Total Liabilities	(23,317)	(23,790)	(22,582)	(21,493)
Share capital	(5,186)	(105)	(67)	(67)
Retained earnings	(10,282)	(14,402)	(18,096)	(18,544)
Shareholder's Equity	(15,469)	(14,508)	(18,163)	(18,611)
Total Liabilities and Shareholder's fund	(38,786)	(38,297)	(40,745)	(40,104)

Trust account

A few carriers (IFC, Eco, Gore) require agency-bill premiums to be held in a fiduciary account, which is not strictly followed by the Company. We understand this clause was originally driven by the RIBO rules and it is not always adhered to in the BC market. From a process standpoint, Management represented that the Company tracks the premiums that are held by each carrier and generally ensures sufficient cash amounts are retained in the business to be in compliance with the contract. In addition, the Lloyds contract does have a trust account requirement that is maintained by the Company.

Financial key findings (1/3)

Issue	Summary observations	Key analysis
ICBC Premium Rate Changes <i>ICBC premiums are expected to decrease from February 1, 2021, impacting the Company's future commissions.</i>	■ ICBC announced that from May 2021, Enhanced Care coverage will reduce driver costs by approximately 20% or up to \$400 on average. BCUC announced in January 2021 that it has approved the ICBC's request for a 15% reduction to basic insurance rates. Optional rate reduction has not been announced by ICBC except it was noted that Optional rates will decrease in response to changes in claims experience and market conditions from February 1, 2021. ■ ICBC issued a letter to brokers on December 16, 2020 with the following changes in brokers commission rates: ➢ Basic fee for brokers per transaction will increase by 8% from January 1, 2021. In addition, brokers will receive two one-time payments on May 1, 2021 and March 31, 2022. ➢ Optional commission rates will remain the same as 2020. However, because Enhanced Care will introduce lower premiums, and the recent trend of fewer vehicle incidents may result in lower premiums for collision coverage, brokers may expect significant decreases in overall commission in 2021 and 2022. Some of these impacts will begin in February 2021. ➢ Online sales will be introduced in 2022 although ICBC does not expect impact on brokers' commission as part of the introduction of online sales. ■ ICBC informed Allwest in January 2021 that they may expect a 20% decrease in overall commissions (inclusive of ICBC's one-time payment of \$716,000 received on March 15, 2021). ■ While Management forecasts overall baseline revenue to decrease by 20% in FY21F and FY22F, the decrease is forecast to be offset by certain Management assumptions including increase in new plates and change transactions, increase in retention and renewal transactions and continued strength in private auto sales, resulting in a net increase in total revenue. ■ See Appendix 5 for sensitivity analysis for potential revenue and EBITDA impacts as a result of ICBC rate changes.	<i>Appendix 5</i>
Retention rates <i>Retention rate for a new policy in the first year is 26% but increase to 73-80% in subsequent years once passed the first year renewal</i>	■ Average retention rate for a new policy in the first year is about 26%. Management asserts that it is because the majority of new policies are sold in dealerships and therefore most customers may find it convenient to transact with the agent on-premise for the dealership. In subsequent years, individuals may choose their own broker to renew their policies. Once a policy is retained by the Company for the first year, they typically retain 73-80% of that business. ■ Revenue from renewals and revenue per policy renewal has increased over the historical period. In TTM Jan-21, the Company earned \$15.1 million in renewal revenue, earning an average of \$161 commission per renewal.	<i>Appendix 4</i>

Financial key findings (2/3)

Issue	Summary observations	Key analysis																																																																	
Quality of earnings <i>TTM Jan-21 reported EBITDA is \$10.0 million.</i> <i>TTM Jan-21 pro forma adjusted EBITDA is \$10.5 million, subsequent to VDD, potential, and VDD pro forma adjustments.</i>	■ The following table summarizes EBITDA subsequent to VDD, potential, and pro forma adjustments for FY19, FY20, TTM Nov-20, and TTM Jan-21: <table><tr><th colspan="5">Quality of Earnings</th></tr><tr><th></th><th>FY19</th><th>FY20</th><th>TTM Nov-20</th><th>TTM Jan-21</th></tr><tr><td>\$'000</td><td></td><td></td><td></td><td></td></tr><tr><td>Net income, reported</td><td>3,583</td><td>4,120</td><td>5,475</td><td>5,627</td></tr><tr><td>EBITDA, reported</td><td>7,493</td><td>8,101</td><td>9,771</td><td>9,961</td></tr><tr><td>VDD component adjustments</td><td>974</td><td>834</td><td>834</td><td>801</td></tr><tr><td>EBITDA, VDD component adjusted</td><td>8,468</td><td>8,935</td><td>10,604</td><td>10,762</td></tr><tr><td>Potential adjustments</td><td>(213)</td><td>(46)</td><td>(185)</td><td>(154)</td></tr><tr><td>EBITDA, potentially adjusted</td><td>8,255</td><td>8,890</td><td>10,419</td><td>10,609</td></tr><tr><td>EBITDA margin, potentially adjusted</td><td>25.9%</td><td>26.2%</td><td>29.1%</td><td>29.3%</td></tr><tr><td>Pro forma adjustments (VDD)</td><td>(86)</td><td>28</td><td>40</td><td>(62)</td></tr><tr><td>EBITDA, VDD pro forma adjusted</td><td>8,169</td><td>8,918</td><td>10,459</td><td>10,546</td></tr><tr><td>EBITDA margin, VDD pro forma adjusted</td><td>25.6%</td><td>26.3%</td><td>29.2%</td><td>29.1%</td></tr></table> Source: Management provided information; KPMG analysis ■ Significant TTM Jan-21 VDD adjustments include: – Founding shareholder related expenses (+\$253,000): Relates to key man insurance and shareholder travel incurred by the founding shareholders that are not expected to be incurred post-transaction. – Dealership expense true-up (+\$211,000): Relates to the adjustment of periodic dealership expense accruals to actual expenses paid in the period. – One-off professional fees (+\$207,000): Relate to various legal, consulting, transaction-related, and other professional fees which are determined to be non-recurring. – Non-business related expenditures (+\$185,000): Relates to extraordinary client gifts and meals & entertainment largely incurred by the founding shareholders that are not expected to be incurred post-transaction. ■ Significant TTM Jan-21 potential adjustments include: – Non-business related expenditures reversal (-\$92,000): Relates to the reversal of 50% of the related VDD adjustment, as based on historical experience, a portion of these expenses are expected to re-occur. – Non-recurring employee gifts reversal (-\$43,000): Relates to the reversal of 50% of the related VDD adjustment, as based on historical experience, a portion of these expenses are expected to re-occur. ■ Significant TTM Jan-21 VDD pro forma adjustments include: – Run-rate of lost dealership: (-\$95,000): Adjusts for the estimated annual revenue lost, net of estimated dealership expenses due to lost relationship with Chrysler in October 2020.	Quality of Earnings						FY19	FY20	TTM Nov-20	TTM Jan-21	\$'000					Net income, reported	3,583	4,120	5,475	5,627	EBITDA, reported	7,493	8,101	9,771	9,961	VDD component adjustments	974	834	834	801	EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762	Potential adjustments	(213)	(46)	(185)	(154)	EBITDA, potentially adjusted	8,255	8,890	10,419	10,609	EBITDA margin, potentially adjusted	25.9%	26.2%	29.1%	29.3%	Pro forma adjustments (VDD)	(86)	28	40	(62)	EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546	EBITDA margin, VDD pro forma adjusted	25.6%	26.3%	29.2%	29.1%	Page 15 to 24
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Financial key findings (3/3)

Issue	Summary observations	Key analysis																																																																								
Net working capital <i>TTM Jan-21 reported average NWC is \$(1.3) million, which increased to \$0.5 million subsequent to adjustments.</i>	- The following table summarizes reported and adjusted average net working capital for FY19, FY20, TTM Nov-20, and TTM Jan-21: <table><tr><th colspan="9">Net working capital</th></tr><tr><th></th><th colspan="4">As at</th><th colspan="4">Average</th></tr><tr><th>\$'000</th><th>30-Apr-19</th><th>30-Apr-20</th><th>30-Nov-20</th><th>31-Jan-21</th><th>FY19</th><th>FY20</th><th>TTM Nov-20</th><th>TTM Jan-21</th></tr><tr><td>Net working capital, reported</td><td>(71)</td><td>(1,041)</td><td>(2,086)</td><td>(1,795)</td><td>135</td><td>24</td><td>(994)</td><td>(1,262)</td></tr><tr><td>VDD adjustments</td><td>807</td><td>1,399</td><td>1,982</td><td>1,891</td><td>451</td><td>807</td><td>1,488</td><td>1,718</td></tr><tr><td>Net working capital, VDD adjusted</td><td>736</td><td>357</td><td>(104)</td><td>96</td><td>586</td><td>831</td><td>494</td><td>456</td></tr><tr><td>TTM adjusted net sales</td><td>31,922</td><td>33,947</td><td>35,780</td><td>36,256</td><td>-</td><td>-</td><td>-</td><td>-</td></tr><tr><td>Adjusted WC, as a % of net sales</td><td>2.3%</td><td>1.1%</td><td>(0.3%)</td><td>0.3%</td><td>1.8%</td><td>2.4%</td><td>1.4%</td><td>1.3%</td></tr></table> <i>Source: Management provided information; KPMG analysis</i> - Significant VDD adjustments to TTM Jan-21 average net working capital include: Interest rate swap (+\$761,000): Relates to financial derivative used to hedge interest rate risk exposure on the debt facilities, which is non-operating in nature. Income taxes payable (+\$494,000): Represents income taxes accrued for historical periods, which are removed from working capital for inclusion in net debt. Family Quickpay (+\$302,000): To true-up an accounting cut-off variance relating to Family customers' payments, where the commissions payable component is recorded in arrears.	Net working capital										As at				Average				\$'000	30-Apr-19	30-Apr-20	30-Nov-20	31-Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21	Net working capital, reported	(71)	(1,041)	(2,086)	(1,795)	135	24	(994)	(1,262)	VDD adjustments	807	1,399	1,982	1,891	451	807	1,488	1,718	Net working capital, VDD adjusted	736	357	(104)	96	586	831	494	456	TTM adjusted net sales	31,922	33,947	35,780	36,256	-	-	-	-	Adjusted WC, as a % of net sales	2.3%	1.1%	(0.3%)	0.3%	1.8%	2.4%	1.4%	1.3%	<i>Page 26 to 29</i>
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Net debt	The Company's reported net debt is \$(12.2) million as at January 31, 2021, which increased to \$(13.7) million subsequent to diligence adjustments. <table><tr><th colspan="2">Net debt</th></tr><tr><td>\$'000</td><td>31-Jan-21</td></tr><tr><td>Cash and cash equivalents</td><td>3,187</td></tr><tr><td>Debt and debt-like items</td><td>(15,418)</td></tr><tr><td>Net debt, reported</td><td>(12,231)</td></tr><tr><td>Diligence adjustments</td><td>(1,472)</td></tr><tr><td>Net debt, adjusted</td><td>(13,703)</td></tr></table> <i>Source: Management provided information; KPMG analysis</i>	Net debt		\$'000	31-Jan-21	Cash and cash equivalents	3,187	Debt and debt-like items	(15,418)	Net debt, reported	(12,231)	Diligence adjustments	(1,472)	Net debt, adjusted	(13,703)	<i>Page 30 to 31</i>																																																										
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Key man risk <i>Mr. James Beaulieu (COO) is an integral individual holding key dealership relationships, managing producers and renewal business.</i>	- Mr. James Beaulieu (COO and part owner involved in the transaction) is a key link for establishing and maintaining all dealership relationships, which are the major source of new policies brokered by the Company. Additionally, the COO is responsible for managing the Company's producers, who are responsible for the Company's large book of renewal business, as well as determining the bonus amount for employees. This presents a key-man risk for the Company subsequent to this transaction. - We recommend that you negotiate the retention terms with Mr. James Beaulieu and consider whether Key Man insurance is required and consider the relevant costs.	<i>n.a.</i>																																																																								

Tax key findings (1/3)

Issue	Summary observations																											
Scope limitation	- Our Canadian tax findings are based on the information provided in the VDR through March 29, 2021 and a discussion with Management and Tax Advisor held on March 15, 2021. The scope of our tax due diligence was limited to the last two taxation years and as such, further tax exposures could exist. - We recommend that Client obtain comprehensive representations and warranties as well as a separate tax indemnity sufficiently broad to cover all Canadian taxes for open tax years with regard to these potential tax exposures. The representations, warranties and indemnity should survive the period for which the tax returns can be reassessed.																											
Tax exposure - summary	To date, we have identified the following potential cash tax exposures:<table><tr><th colspan="3">Summary of potential quantifiable tax exposures</th></tr><tr><th>\$</th><th>Estimated Tax Exposure</th><th>Risk Assessment</th></tr><tr><td>Non-deductible expenses</td><td>\$ 250,000</td><td>Medium to High</td></tr><tr><td>Target Registration and Filing</td><td>\$ 80,000</td><td>Medium to High</td></tr><tr><td>GST on Life Insurance referrals</td><td>\$ 10,000</td><td>Medium to High</td></tr><tr><td>Fees paid to related parties</td><td>\$ 60,000</td><td>Medium</td></tr><tr><td>Legal settlement</td><td>\$ 15,000</td><td>Medium</td></tr><tr><td>Ineligible dividend declaration</td><td>\$ 40,000</td><td>Low</td></tr><tr><td>Potential Canadian Tax Exposures</td><td>\$ 455,000</td><td></td></tr></table> Source: Information provided in the dataroom, responses from Management and KPMG analysis	Summary of potential quantifiable tax exposures			\$	Estimated Tax Exposure	Risk Assessment	Non-deductible expenses	\$ 250,000	Medium to High	Target Registration and Filing	\$ 80,000	Medium to High	GST on Life Insurance referrals	\$ 10,000	Medium to High	Fees paid to related parties	\$ 60,000	Medium	Legal settlement	\$ 15,000	Medium	Ineligible dividend declaration	\$ 40,000	Low	Potential Canadian Tax Exposures	\$ 455,000	
Summary of potential quantifiable tax exposures																												
\$	Estimated Tax Exposure	Risk Assessment																										
Non-deductible expenses	\$ 250,000	Medium to High																										
Target Registration and Filing	\$ 80,000	Medium to High																										
GST on Life Insurance referrals	\$ 10,000	Medium to High																										
Fees paid to related parties	\$ 60,000	Medium																										
Legal settlement	\$ 15,000	Medium																										
Ineligible dividend declaration	\$ 40,000	Low																										
Potential Canadian Tax Exposures	\$ 455,000																											
Non-deductible expenses	- From our Phase I report of February 4, 2021, we understand that Target claimed various expenses that were not incurred for business purposes that could be re-assessed by the CRA, including the following: 1) \$80,000 of transaction costs: these costs are associated with the sale of Target and should not be deductible as these are generally a shareholder related expenses; 2) \$120,000 of Extraordinary client gifts: these were gifts given to clients whom the founders have personal relationships with, outside of the business; 3) \$145,000 of Family-related costs: this relates to the shareholder's son and cleaning services that were above market rates, which was paid to a related party; 4) \$170,000-of non-business travel: this travel was extraordinary travel unrelated to ordinary business, which included a Mexico trip and personal travel expenses of spouses; and 5) \$300,000 of meals & entertainment: these include large dinners and entertainment events held by founding members and their associates including at the Palm Spring board retreat, as well as meals in London and a birthday dinner for an associate. - Where all of the above expenses have been expensed for tax purposes, in a future CRA audit, we believe there is a medium to higher risk that the vast majority of these expenses could be denied. We estimate a potential exposure of up to \$250,000, inclusive of interest.																											

Tax key findings (2/3)

Issue	Summary observations
Target Registration and Filing	■ Insurers or corporations whose principal business is providing insurance under insurance policies are generally considered listed financial institutions. As an insurance broker, Target is likely a listed financial institution for GST purposes. All registered LFIs with \$1M or more in gross annual revenues are required to file the GST111 annual information return. Management confirmed that Target is registered for GST, however the GST111 filings have never been made. ■ The penalty for failing to file this return is up to \$1,000/box. For the last two years, we estimate Target's penalty exposure to range between \$25,000 to \$40,000 per year, or \$50,000 to \$80,000 cumulatively. ■ We recommend pre-closing Target makes a Voluntary Disclosure, if available, with completed returns for all open tax years (not just the past two years), that may allow mitigation of this penalty. In practice, it might be also possible to file deficient GST111 returns and obtain the CRA acceptance without following the voluntary disclosure route. Although we have had success in the past rectifying these situations with the CRA administratively, each individual case will be unique. We recommend Client obtains specific representations and warranties as well as a separate tax indemnity with respect to this matter.
Eligible dividends	■ Based on the corporate income tax returns, Target paid eligible dividends of about \$193K to Zalecorp Holdings Ltd. in FY19. Generally, corporations must designate each "eligible" dividend they pay, before or at the time the dividends are paid, and notify shareholders in writing contemporaneously that the dividends are eligible dividends. ■ Based on the resolutions provided, Target resolved to reduce the capital of Class B preferred shares by \$193K which was effected by a cash distribution. As the dividends were not identified as "eligible", we do not believe the resolutions meet the contemporaneous requirements with respect to the designation of eligible dividend notifications. ■ To the extent the CRA deems the dividend to be an excessive eligible dividend, we estimate a potential penalty (i.e., 20% of the dividend) in the range of \$40,000 to Target. Considering that the Target had sufficient balance in its general rate income pool in the year, we consider this risk to be low. Post-closing, we recommend that you establish appropriate contemporaneous notification procedures to ensure proper compliance with these eligible dividend requirements.
GST on Revenues	■ We understand that GST is only being collected on a real property sub-lease. However, during our discussions, Management indicated that Target may have some taxable revenues on which GST is not being collected, including: ■ <i>Life insurance referrals</i>: Target receives a split of commissions from life insurance referrals of approximately \$20,000/year in gross revenues. This would amount to about \$1,000 to \$3,000 in uncollected GST/HST per year, depending on the province of the carrier. We estimate a potential cumulative tax liability of under \$10,000 for the past two years. ■ <i>Tenant inducements</i>: Target receives tenant inducements from landlords for leasehold improvements. For this, Target should be able to claim an offsetting input tax credit for the GST paid on the leasehold improvements themselves, so the chances of any net tax liability appears lower.

Tax key findings (3/3)

Issue	Summary observations
Management fees paid to related parties	■ Generally, in order for payments to be deductible, they must be: (i) incurred for business purposes and (ii) be reasonable in the circumstances. Based on discussions with Management, Target paid management fees to Highland West Capital (averaging \$190,000 in FY19 & FY20). However, the management fees paid was calculated based on the previous year's EBITDA, which appears to be more akin to a dividend. ■ To date, Management has not provided any objective support to demonstrate the reasonability of the amounts deducted such as a breakdown of costs incurred, time spent, agreements or other third party comparable with regard to the above fee. ■ Based on the fee being tied to profitability of Target, we believe there is a low to medium risk that the CRA may deny a portion of this fee on the basis it is a quasi-dividend (and thus not deductible). For illustrative purposes, where 50% of the above management fee is denied, we estimate a potential tax exposure in the range of \$60,000.
Legal settlement	■ In FY20, following a successful settlement of a lawsuit against a former employee for breach of contract (where employee redirected Target's book of business elsewhere), Target received proceeds of \$50,000. Management represented that in consultation with their Tax Advisors it was determined that the proceeds received was not an amount that corresponded to an actual loss therefore not taxable for income tax purposes. ■ The CRA's long time policy with regards to settlement payments has been that they follow the surrogatum principle with respect to taxation where the payment takes on the attributes of what the payment is meant to replace and is taxed (or not) accordingly. Accordingly, if a settlement was reached paying the litigating party for a breach of contract which resulted in the loss of business income, then the settlement amount essentially replaces the lost income and would thus be taxable as business income. On the other hand, if a settlement amount is paid for a breach of contract that results in damages to an income producing property, then the settlement amount would generally be considered a capital amount. ■ There is a risk that the CRA may determine that the proceeds received on the successful settlement of the lawsuit for breach of contract were a result of lost business income and accordingly, the settlement amount was meant to replace lost income of the business and should therefore be taxable as business income to Target. We estimate a potential exposure of approximately \$15,000.
Self-assessment of sales taxes	■ Management indicated that it is not self-assessing GST or BC PST on taxable supplies acquired from out-of-province vendors (e.g., software), and seemed unaware of the obligation to self-assess. ■ Though we have not been provided with sufficient details of these expenses to estimate a potential liability, we believe any potential liability in this respect will likely not be material.



Quality of earnings

Quality of earnings - Overview (1/9)

Reported TTM Jan-21 EBITDA of \$10.0 million increases to \$10.6 million subsequent to VDD and potential adjustments.

Subsequent to pro forma VDD adjustments, TTM Jan-21 EBITDA decreases to \$10.5 million.

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
Net income, reported	3,583	4,120	5,475	5,627
Add/(deduct)				
Management fees	819	816	849	858
Gain/losses (FX, interest rate swap, sale of property)	393	330	336	336
Depreciation and amortization	334	339	416	449
Net interest (income)/expense	786	886	709	654
Income Tax	1,579	1,611	1,987	2,038
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	<i>23.5%</i>	<i>23.9%</i>	<i>27.3%</i>	<i>27.5%</i>
VDD component adjustments	974	834	834	801
EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762
<i>EBITDA margin, VDD component adjusted</i>	<i>26.5%</i>	<i>26.3%</i>	<i>29.6%</i>	<i>29.7%</i>
Potential adjustments	(213)	(46)	(185)	(154)
EBITDA, potentially adjusted	8,255	8,890	10,419	10,609
<i>EBITDA margin, potentially adjusted</i>	<i>25.9%</i>	<i>26.2%</i>	<i>29.1%</i>	<i>29.3%</i>
Pro forma adjustments (VDD)	(86)	28	40	(62)
EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
<i>EBITDA margin, VDD pro forma adjusted</i>	<i>25.6%</i>	<i>26.3%</i>	<i>29.2%</i>	<i>29.1%</i>

Source: Management provided information; KPMG analysis

Basis of preparation

The quality of earnings schedule illustrates potential EBITDA adjustments for periods ended April 30, 2019, April 30, 2020 and the TTM periods ended November 30, 2020 and January 31, 2021.

The proposed adjustments made are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Overview

- The adjacent table presents a summary of the Company's reported and adjusted EBITDA based on:
 - Monthly internal trial balances;
 - PwC's vendor due diligence (VDD) report and datapack covering FY19, FY20, TTM Nov-20 and TTM Jan-21.
 - Additional supporting information provided by Management;
 - Discussions held with the company's Management and external advisor (PwC).
- Please refer to the appendix section for the reconciliation of the adjacent QofE table to Management's reported figures.
- The nature of the adjustments included in our quality of earnings analysis are as follows:
 - **EBITDA, reported:** Represents definitional add-backs (i.e. interest (income)/expenses, depreciation and amortization, and income taxes) to net income, as well as Management fees (paid to companies owned by shareholders) and all (gains)/losses from foreign exchange, interest rate swap, and sale of property.
 - **VDD component adjustments:** Represents Vendor Due Diligence adjustments to reflect non-recurring and non-operational items identified by Management and their third party Quality of Earnings service provider, PwC.
 - **Potential adjustments:** Includes certain one-time or non-recurring and non-operational adjustments identified over the course of our due diligence.
 - **Pro forma VDD adjustments:** PwC estimated adjustments to reflect the go-forward EBITDA run rate.

Quality of earnings - VDD adjustments (2/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	<i>23.5%</i>	<i>23.9%</i>	<i>27.3%</i>	<i>27.5%</i>
VDD component adjustments				
1 Founding shareholder related expenses	367	240	244	253
2 Non-business related expenditures	280	244	204	185
3 One-off professional fees	76	140	151	207
4 Non-recurring employee gifts and office expenses	19	24	71	85
5 Non-recurring charity and event sponsorship	173	123	45	37
6 Non-business related travel	116	-	-	-
7 Legacy dealership events	58	44	-	-
8 Commission expense cut-off	(94)	(37)	(82)	(63)
9 Dealership expense true-up	0	109	245	211
10 Other component adjustments	(20)	(54)	(43)	(115)
VDD component adjustments	974	834	834	801
EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762
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Source: Management provided information; KPMG analysis

VDD component adjustments

The following are component adjustments to reported EBITDA identified by the sell-side QofE report:

- Founding shareholder related costs:** These expenses relate to founding shareholders and do not relate to running the business. The costs added back include the following:

QofE Adjustment 1 - Founding shareholder related expenses				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
Family-related costs (net of go-forward costs)	116	125	145	160
Key man insurance	58	53	68	68
Shareholder travel	194	62	32	25
Total founding shareholder related expenses	367	240	244	253

Source: Management provided information

- Family-related costs (net of go-forward costs):** The shareholder's son was employed for \$88,000 but did not provide business services. In addition, the Company paid \$117,000 to a family member for cleaning services, while market rates are estimated to be \$70,000 going forward. The net premium of \$47,000 paid to the family member for cleaning services is added-back as well as sundry personal expenses relating to cell phone purchases for a net adjustment of \$160,000 in family-related expenses for TTM Jan-21.
- Key man insurance:** A life insurance policy for a founding shareholder amounting to \$68,000 in TTM Jan-21. This expense would not be incurred post-transaction and is therefore added back.
- Shareholder travel:** Relates to extraordinary travel unrelated to ordinary business (TTM Jan-21: \$25,000), including a board travel to Palm Springs and a non-business related travel to London, including hotel charges.

Quality of earnings - VDD adjustments (3/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	<i>23.5%</i>	<i>23.9%</i>	<i>27.3%</i>	<i>27.5%</i>
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Pro forma adjustments (VDD)	(86)	28	40	(62)
EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
<i>EBITDA margin, VDD pro forma adjusted</i>	<i>25.6%</i>	<i>26.3%</i>	<i>29.2%</i>	<i>29.1%</i>

Source: Management provided information; KPMG analysis

VDD component adjustments (cont'd)

- Non-business related expenditures:** These add-backs include expenses the Sellers deem as extraordinary relating to clients with whom the founders have personal relationships with. These extra-ordinary client-related expenses include:

QofE Adjustment 2 - Non-business related expenditures				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
Extraordinary client gifts	65	54	53	45
Meals and entertainment	215	190	152	140
Total non-business related expenditures	280	244	204	185

Source: Management provided information

- Extraordinary client gifts:** Gifts given to clients in TTM Jan-21 include purchases from Harry Rosen (\$7,000), Holt Renfrew (\$4,000), and Chateau Whistler (\$2,000).
- Meals & entertainment:** These include large dinners and entertainment events held by founding members and their associates including at the Palm Spring board retreat, as well as meals in London and a birthday dinner for an associate.

The VDD report asserts that these expenses do not relate to typical business development. PwC notes that the portion of meals & entertainment expenses added back only relates to specifically identified events.

On an adjusted basis, the VDD reports meals & entertainment expense for TTM Jan-21 is \$19,000 (while reported is \$122,000, excluding sundry sales promotion included in the M&E add-back).

However, we propose to reverse this adjustment partially. See Adjustment #11 for additional consideration.

- One-off professional fees:** In TTM Jan-21, these non-recurring expenses relate to legal fees associated with Project Radcliffe (\$17,000), legal fees associated with the launch of an online platform (\$18,000), non-recurring consultancy fees for a graphic designer related to branding/marketing (\$28,000), and other professional costs for Project Radcliffe (\$105,000). In previous periods, one-time expenses related largely to debt re-financing (FY20:\$102,000) and recruitment costs (FY19:\$54,000).

Quality of earnings – VDD adjustments (4/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	<i>23.5%</i>	<i>23.9%</i>	<i>27.3%</i>	<i>27.5%</i>
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EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
<i>EBITDA margin, VDD pro forma adjusted</i>	<i>25.6%</i>	<i>26.3%</i>	<i>29.2%</i>	<i>29.1%</i>

Source: Management provided information; KPMG analysis

VDD component adjustments (cont'd)

- Non-recurring employee gifts and office expenses:** The founding shareholders have provided high-value gifts to certain employees upon retirement, long-tenure milestones or other celebrations (TTM Jan-21: \$48,000). There is no formal practice for these and therefore these expenses are expected to end going forward. This adjustment also includes one-time expenditures related to COVID-19 (TTM Jan-21: \$18,000), such as masks, gloves, hand sanitizer and plexiglass shields, and other minor expenses (TTM Jan-21: \$19,000).
 - However, we propose to reverse this adjustment partially. See Adjustment #12 for additional consideration.
- Non-recurring charity and event sponsorship:** Management asserts that historical charity spend is related to philanthropic associations that are personal causes for the founding shareholders. These are not expected to continue going forward. The VDD report asserts that the run-rate charity expense going forward is expected to be \$13,000.
 - However, we propose to reverse this adjustment partially. See Adjustment #14 for additional consideration.
- Non-business related travel:** The majority of this add-back relates to a one-time team bonding and performance-related trip to Mexico in FY19 (\$101,000). The balance of \$15,000 in FY19 relates to personal travel for executives' spouses to board meetings in that year.
- Legacy dealership events:** Historically, the Company hosted events at auto dealerships, including summer BBQ's (FY19: \$47,000, FY20: \$44,000), and \$11,000 in FY19 for cookie deliveries. These events and advertising model were discontinued by the end of FY20 and / or replaced in accordance with new dealership rental arrangements, which have increased over the historical period in line with higher sales levels.
- Commission expense cut-off:** PwC understands that producer and agent commissions are expensed and paid in the month following when associated revenue is earned. PwC re-allocated the commission expense to when it was earned instead of paid.

Quality of earnings - VDD adjustments (5/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	<i>23.5%</i>	<i>23.9%</i>	<i>27.3%</i>	<i>27.5%</i>
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6 Non-business related travel	116	-	-	-
7 Legacy dealership events	58	44	-	-
8 Commission expense cut-off	(94)	(37)	(82)	(63)
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<i>EBITDA margin, VDD pro forma adjusted</i>	<i>25.6%</i>	<i>26.3%</i>	<i>29.2%</i>	<i>29.1%</i>

Source: Management provided information; KPMG analysis

VDD component adjustments (cont'd)

9. **Dealership expense true-up:** The Company records a standard monthly entry for dealership advertising expenses (based on estimated origination activity), with a year-end true-up to reflect actual expenses incurred (the balance at FY20 was held on the balance sheet). In TTM Jan-21, sales declined due to COVID-19, and therefore the recorded expenses were higher than actuals incurred, for which PwC adjusted the over accrual.

QofE Adjustment 9 - Dealership expense true-up				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
Accrual (per P&L)	(1,539)	(2,066)	(2,197)	(2,162)
Actual payment due	(1,539)	(1,957)	(1,953)	(1,951)
True up adjustment	0	109	245	211

Source: Management provided information

10. **Other component adjustments:** These adjustments reflect smaller amounts, including adjustment to remove impact of a one-time legal net settlement income of (TTM Jan-21: \$45,000) against a former employee, back-dated automobile allowance (to normalize a Dec-19 expense that relates to the full year), deferred rent true-up of (TTM Jan-21: \$7,000) to reflect fully loaded rent, Optiom claim and misc. income in FY19, and reversal of the Company's reported bad debt recovery from historically over accrued bad debt expenses. See Adjustment #13 for additional bad debt adjustments.

QofE Adjustment 10 - Other component adjustments				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
One-time legal settlement income	-	(50)	(45)	(45)
Back-dated automobile allowance	(3)	3	9	-
Deferred rent true-up	(1)	(7)	(7)	(7)
Optiom claim and miscellaneous income	(16)	-	-	-
Bad debt recovery	-	-	-	(63)
Other component adjustments	(20)	(54)	(43)	(115)

Source: Management provided information

Quality of earnings – Potential adjustments (6/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	23.5%	23.9%	27.3%	27.5%
VDD component adjustments	974	834	834	801
EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762
<i>EBITDA margin, VDD component adjusted</i>	26.5%	26.3%	29.6%	29.7%
Potential adjustments				
11 Non-business related expenditures reversal	(140)	(122)	(102)	(92)
12 Non-recurring employee gifts reversal	(9)	(12)	(35)	(43)
13 Bad debts reversal	23	150	(25)	-
14 Non-recurring charity and event sponsorship revers	(86)	(62)	(22)	(19)
Potential adjustments	(213)	(46)	(185)	(154)
EBITDA, potentially adjusted	8,255	8,890	10,419	10,609
<i>EBITDA margin, potentially adjusted</i>	25.9%	26.2%	29.1%	29.3%
Pro forma adjustments (VDD)	(86)	28	40	(62)
EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
<i>EBITDA margin, VDD pro forma adjusted</i>	25.6%	26.3%	29.2%	29.1%

Source: Management provided information; KPMG analysis

Potential adjustments

The following are potential adjustments to VDD component adjusted EBITDA identified during due diligence:

- Non-business related expenditures reversal:** As per QofE adjustment #2, Management asserts that client gifts and meals & entertainment expenses added back are non-recurring in nature. Based on historical experience, we would expect that some of these client gifts and events will re-occur to maintain business contacts, and as such, propose a 50% reversal of this VDD adjustment.
- Non-recurring employee gifts reversal:** As per QofE adjustment #4, it has been the habit of Management to reward long-tenure employees with extravagant gift-giving. While there is no contractual obligation, it is our view that some level of these gifts would be reasonably expected to occur to maintain culture and retain employees, and therefore propose a 50% reversal of this adjustment.
- Bad debts reversal:** In Oct-19, the Company began recording a 50% provision of all P&C receivables 90 days past due. By Apr-20, the Company recorded 100% provision of these same balances. The Company collected a significant portion of these bad debts between May-20 and Jan-21. PwC has reversed the bad debt recoveries in TTM Jan-21 in QofE adjustment #10 but not for other historical periods, we therefore propose to remove the net effect of bad debts and recoveries in other historical periods with this adjustment.
- Non-recurring charity and event sponsorship reversal:** As per QofE adjustment #5, it would be expected that some community charity and sponsorship to be maintained locally, and as such, a 50% reversal of this adjustment is proposed.

Quality of earnings

Quality of earnings – Pro forma VDD adjustments (7/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
EBITDA margin, reported	23.5%	23.9%	27.3%	27.5%
VDD component adjustments	974	834	834	801
EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762
EBITDA margin, VDD component adjusted	26.5%	26.3%	29.6%	29.7%
Potential adjustments	(213)	(46)	(185)	(154)
EBITDA, potentially adjusted	8,255	8,890	10,419	10,609
EBITDA margin, potentially adjusted	25.9%	26.2%	29.1%	29.3%
Pro forma (VDD)				
15 Contingent profit commissions (CPC)	(86)	28	49	29
16 Run-rate new dealerships	-	-	30	4
17 Run-rate of lost dealership	-	-	(38)	(95)
18 COVID-19 impact	N.Q.	N.Q.	N.Q.	N.Q.
Pro forma adjustments (VDD)	(86)	28	40	(62)
EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
EBITDA margin, VDD pro forma adjusted	25.6%	26.3%	29.2%	29.1%

Source: Management provided information; KPMG analysis

Pro forma VDD adjustments

The following are pro forma adjustments to reported EBITDA identified by the Vendor Due Diligence QofE report:

- Contingent profit commission (CPC):** The Company receives CPC income from carriers based on loss ratio, retention rate and new policy volumes. The amount varies and is assessed over multiple underwriting years. PwC included a pro forma adjustment to normalize based on the average percentage of non-ICBC premiums over the periods under review.

QofE Adjustment 15 - CPC						
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21	Average	
CPC income	A	507	437	459	491	478
Total premiums (non-ICBC)	B	10,098	11,136	12,043	12,075	11,103
CPC as % of premiums	C = Avg A / Avg B					4.3%
Based on average	D = B x C	422	465	508	520	
Adjustment	E = D - A	(86)	28	49	29	

Source: Management provided information

- Run-rate of new dealerships:** The Company entered in three new dealership arrangements during the TTM Jan-21 period. The report asserts that dealership revenue is relatively predictable and stable, and therefore has adjusted EBITDA for the expected full-year impact of these three dealerships.

Locations opened		
\$'000	Date	Annual run rate
YVR auto gallery	Nov-19	13
Langley toyota	Feb-20	185
Cartopia enterprises	May-20	14
Total		213

Source: Management provided information

Quality of earnings – Pro forma VDD adjustments (8/9)

Quality of Earnings				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
EBITDA, reported (excl. Mgmt fees & FX)	7,493	8,101	9,771	9,961
<i>EBITDA margin, reported</i>	23.5%	23.9%	27.3%	27.5%
VDD component adjustments	974	834	834	801
EBITDA, VDD component adjusted	8,468	8,935	10,604	10,762
<i>EBITDA margin, VDD component adjusted</i>	26.5%	26.3%	29.6%	29.7%
Potential adjustments	(213)	(46)	(185)	(154)
EBITDA, potentially adjusted	8,255	8,890	10,419	10,609
<i>EBITDA margin, potentially adjusted</i>	25.9%	26.2%	29.1%	29.3%
Pro forma (VDD)				
15 Contingent profit commissions (CPC)	(86)	28	49	29
16 Run-rate new dealerships	-	-	30	4
17 Run-rate of lost dealership	-	-	(38)	(95)
18 COVID-19 impact	N.Q.	N.Q.	N.Q.	N.Q.
Pro forma adjustments (VDD)	(86)	28	40	(62)
EBITDA, VDD pro forma adjusted	8,169	8,918	10,459	10,546
<i>EBITDA margin, VDD pro forma adjusted</i>	25.6%	26.3%	29.2%	29.1%

Source: Management provided information; KPMG analysis

Pro forma VDD adjustments (cont'd)

17. **Run-rate of lost dealerships:** The Company lost its relationship with Chrysler in October 2020 when the dealership was purchased by Foundation Automotive with a pre-existing broker relationship. PwC included an adjustment for the estimated annual revenue lost, net of an estimate of dealership expenses paid.
18. **COVID-19 impact:** The Company has grown overall, despite COVID-19 and its associated potential business impact. Management has outlined the following considerations:
 - **Reduced new car sales:** As new car sales decreased during the beginning of the pandemic, associated commission revenues achieved through dealerships decline, both on ICBC and Optiom commissions. Between Mar-20 and May-20, new vehicle commission revenue was ~\$1.3 million lower than in the same period of the previous year.
 - **Temporary staff reductions:** Consequently, approximately \$500,000 of savings in salaries was achieved by staff taking temporary unpaid leave.

PwC has not quantified the net overall pro forma impact of the pandemic due to uncertainty, but expect on a net basis the Company was likely unfavorably impacted by the pandemic. Management expects new vehicle policy origination to return to pre-pandemic levels going forward.

Quality of earnings – Other considerations (9/9)

Other considerations

The following includes potential Quality of Earnings considerations identified during due diligence. These items relate to other potential issue that should be considered in the overall evaluation of the business. In addition, these items may be subjective in nature and as a result, have not been included in the Quality of Earnings schedule.

- A. ICBC premium rates change:** According to Management, ICBC informed Allwest in January 2021 that they may expect a 20% decrease in overall commissions (net of ICBC's one-time payment) under the existing mix of basic and optional policy sales (see Scenario 5a & 5b below for indicative revenue impacts). Due to the inherent uncertainty of this market change, no adjustment has been included in the Quality of Earnings analysis. The below table is a sensitivity analysis for potential revenue impacts, given different optional premium impacts. See Appendix 5 for further details on revenue and EBITDA impacts.

Commission sensitivity - Target					
\$'000	Basic	Optional	Total	Variance	Variance %
TTM Jan-21 base case	3,714	22,219	25,933	-	-
Scenario 1 - ICBC (20% reduction in overall premiums)	4,011	16,309	20,319	(5,613)	(21.6%)
Scenario 2 - ICBC (\$400 reduction in overall premiums)	4,011	13,121	17,132	(8,801)	(33.9%)
Scenario 3 - IBABC (37.6% reduction in optional premiums)	4,011	13,865	17,875	(8,057)	(31.1%)
Scenario 4 - Waypoint (30% overall decrease)	4,011	14,142	18,153	(7,780)	(30.0%)
Scenario 5a - Allwest (20% overall incl. ICBC payment)	4,011	16,735	20,746	(5,187)	(20.0%)
Scenario 5b - Allwest (20% overall excl. ICBC payment)	4,011	16,019	20,030	(5,903)	(22.8%)

Source: Management provided information

- B. ICBC one-time transition payments to brokers:** As a result of the ICBC rates change taking effect from February 1, 2021, the Company received one-time payment from ICBC of \$716,000 on March 15, 2021 based on new and renewal transactions. These payments have not been incorporated into the Quality of Earnings analysis given its non-recurring nature.

- C. Intact Financial to withdraw from British Columbia's optional auto insurance market:** Intact Insurance had stopped writing new business from December 1, 2020, and renewals from January 1, 2021. Intact Financial represents a small portion of the Company's commission income (in TTM Jan-21, the Company earned \$107,000 commissions out of total private auto and replacement cost commissions of \$6.5 million, approximately 1.6%), and Management expects to replace this revenue with new ICBC products or other carriers going forward. As a result, we have not adjusted for this (see Appendix 6).
- D. Optiom:** The Company's commission from Optiom auto replacement insurance has been declining in the historical period, from \$6.8 million in FY19 to \$5.9 million in L4Q Jan-21. Part of this trend is due to new car sales in Mar-20 to May-20 being negatively impacted by COVID-19. While the revenue per policy increased from \$316 in FY19 to \$349 in L4Q Oct-20 and the margin per policy increased proportionately, the overall number of policies sold declined from 21,000 in FY19 to 17,000 in L4Q Oct-20 in the same period of time. No adjustment has been quantified due to the inherent uncertainty associated with COVID-19 and its impact on new car sales.

OC - Optiom commissions					
			L4Q	L4Q	
\$'000	FY19	FY20	Oct-20	Jan-21	
Optiom revenue	6,750	6,211	5,892	5,878	
Optiom policies	21	18	17	INA	
Revenue per policy	316	339	349	INA	
Optiom commission	(743)	(629)	(594)	(589)	
Optiom policies	21	18	17	INA	
Commission expense per policy	(35)	(34)	(35)	INA	
Margin per policy	281	305	313	INA	

Source: II.D.3.2 Wage analysis Q2 FY2021

- E. Key Man risk:** The potential incentive terms and costs to retain the COO and the cost of Key Man insurance have not been incorporated into the Quality of Earnings analysis.



Net working capital and net debt

Net working capital and net debt

Net working capital - Overview (1/4)

Reported average net working capital for TTM Jan-21 of \$(1.3) million increases to \$0.5 million subsequent to VDD adjustments.

Net working capital								
\$'000	As at				Average			
	30-Apr-19	30-Apr-20	30-Nov-20	31-Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21
Current assets								
Accounts receivable	4,792	3,995	4,506	4,111	4,666	4,607	4,567	4,561
Prepaid expenses and deposits	174	216	177	167	225	189	201	201
Due from shareholder	3	3	3	3	2	3	3	3
Current assets	4,969	4,214	4,685	4,280	4,893	4,799	4,770	4,765
Current liabilities								
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)	(4,541)	(4,558)	(5,307)	(5,489)
Deferred rent	(50)	(43)	(43)	(43)	(51)	(50)	(45)	(44)
Income taxes payable	(43)	(134)	(663)	(557)	(167)	(168)	(413)	(494)
Current liabilities	(5,039)	(5,255)	(6,771)	(6,075)	(4,758)	(4,775)	(5,765)	(6,027)
Net working capital, reported	(71)	(1,041)	(2,086)	(1,795)	135	24	(994)	(1,262)
<i>As % of TTM net sales</i>	<i>(0.2%)</i>	<i>(3.1%)</i>	<i>(5.8%)</i>	<i>(5.0%)</i>	<i>0.4%</i>	<i>0.1%</i>	<i>(2.8%)</i>	<i>(3.5%)</i>
Total VDD adjustments	807	1,399	1,982	1,891	451	807	1,488	1,718
Net working capital, VDD adjusted	736	357	(104)	96	586	831	494	456
<i>As % of TTM net sales</i>	<i>2.3%</i>	<i>1.1%</i>	<i>(0.3%)</i>	<i>0.3%</i>	<i>1.8%</i>	<i>2.4%</i>	<i>1.4%</i>	<i>1.3%</i>

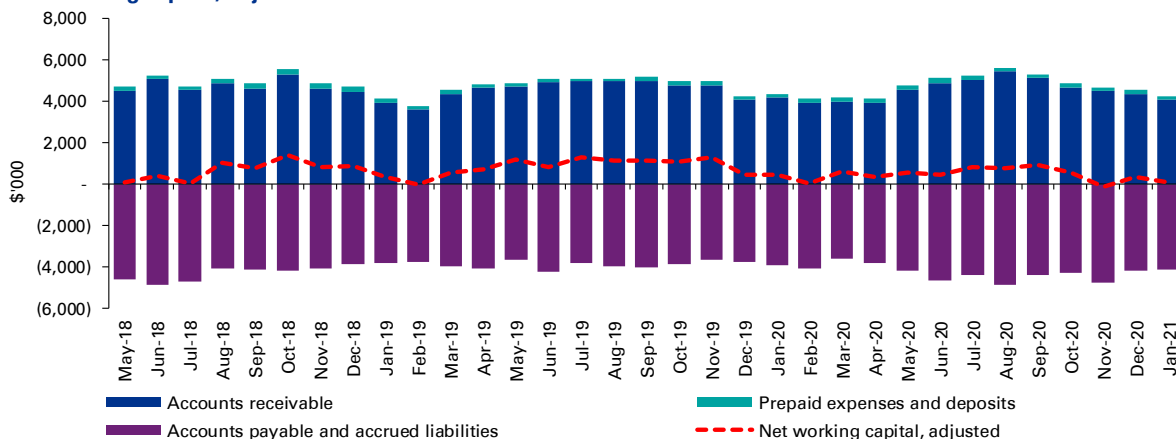
Source: Management provided information; KPMG analysis

Basis of preparation

The working capital adjustment schedule summarizes VDD adjustments to be considered for the net working capital peg and future cash flow modelling for the fiscal years ended April 30, 2019 and April 30, 2020, and the trailing twelve months ended November 30, 2020 and January 31, 2021.

The proposed adjustments made are not necessarily all-inclusive and are based on information provided by Management to date. Further analysis and access to additional information could uncover additional or different proposed adjustments.

Net working capital, adjusted



Source: Management provided information; KPMG analysis

Net working capital and net debt

Net working capital – VDD adjustments (2/4)

Net working capital								
\$'000	As at				Average			
	Apr-19	Apr-20	Nov-20	Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21
Current assets								
Accounts receivable	4,792	3,995	4,506	4,111	4,666	4,607	4,567	4,561
Prepaid expenses and deposits	174	216	177	167	225	189	201	201
Due from shareholder	3	3	3	3	2	3	3	3
Current assets	4,969	4,214	4,685	4,280	4,893	4,799	4,770	4,765
Current liabilities								
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)	(4,541)	(4,558)	(5,307)	(5,489)
Deferred rent	(50)	(43)	(43)	(43)	(51)	(50)	(45)	(44)
Income taxes payable	(43)	(134)	(663)	(557)	(167)	(168)	(413)	(494)
Current liabilities	(5,039)	(5,255)	(6,771)	(6,075)	(4,758)	(4,775)	(5,765)	(6,027)
Net working capital, reported	(71)	(1,041)	(2,086)	(1,795)	135	24	(994)	(1,262)
<i>As % of TTM net sales</i>	<i>(0.2%)</i>	<i>(3.1%)</i>	<i>(5.8%)</i>	<i>(5.0%)</i>	<i>0.4%</i>	<i>0.1%</i>	<i>(2.8%)</i>	<i>(3.5%)</i>
VDD adjustments								
1 Income taxes payable	43	134	663	557	167	168	413	494
2 Prepaid financing costs	(12)	(7)	(6)	(6)	(11)	(12)	(8)	(7)
3 Due to / from shareholder	(3)	(3)	(3)	(3)	(2)	(3)	(3)	(3)
4 Employee receivables	(8)	(3)	(5)	(5)	(9)	(4)	(4)	(4)
5 Lloyds trust account	(95)	(110)	42	5	(42)	(65)	(23)	(3)
6 Misc. AR	(19)	(40)	(36)	(36)	(71)	(32)	(38)	(40)
7 Bonus accrual	-	-	(185)	(238)	(131)	(145)	(145)	(145)
8 Dealership ad expense true up	0	109	168	240	(34)	(27)	108	145
9 Deferred rent	50	43	43	43	51	50	45	44
10 Vacation accrual during COVID-19	-	-	83	62	-	-	29	40
11 Waterford management fees	52	52	52	52	12	56	41	50
12 Earn out accrual	70	54	54	54	227	49	55	55
13 Interest rate swap	479	818	818	818	45	512	705	761
14 Family Quickpay	249	248	290	342	249	245	283	302
15 Allowance for doubtful accounts	-	104	4	6	-	16	30	30
16 Commission expense true up	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]
17 Other non-recurring expenses	[+]	[+]	[+]	[+]	[+]	[+]	[+]	[+]
Total VDD adjustments	807	1,399	1,982	1,891	451	807	1,488	1,718
Net working capital, VDD adjusted	736	357	(104)	96	586	831	494	456
<i>As % of TTM net sales</i>	<i>2.3%</i>	<i>1.1%</i>	<i>(0.3%)</i>	<i>0.3%</i>	<i>1.8%</i>	<i>2.4%</i>	<i>1.4%</i>	<i>1.3%</i>

Source: Management provided information; KPMG analysis

VDD adjustments

- Income taxes payable:** Represents tax-related accruals, which are considered debt-like in nature and hence removed from working capital.
- Prepaid financing costs:** Prepaid expenses arising from the Company's debt arrangements, which are not considered to be part of net working capital.
- Due to / from shareholder:** Represents payables / receivables with the shareholders which are not considered operational in nature and are expected to be settled pre-close. As such, this balance is removed from working capital and included in net debt.
- Employee receivables:** Represent non-interest bearing employee loans and employer-paid learning and development costs for employees (subject to clawback provisions if the employees leaves the Company). These are removed from working capital as they are non-operational in nature.
- Lloyds trust account:** The Company maintains a trust account with Lloyds for amounts received on behalf of the carrier with an offsetting amount recorded in the due to carrier balance. The account is also used to settle claims on behalf of the carriers, which result in a negative balance (and a corresponding receivable from Lloyds). This adjustment includes the trust account as part of the net working capital to align with the treatment of the carrier receivable/payable.
- Misc. AR:** PwC represents that throughout the period, the Company has recorded various one-time and non-recurring receivables in a miscellaneous account, which are generally non-operational personal purchases by founding shareholders. The adjustment remove these non-recurring amounts from normalized net working capital.
- Bonus accrual:** The Company only makes an accrual for performance bonus at year end, which historically get paid in July of the subsequent fiscal year. This adjustment normalizes the net working capital to record the annual bonus accrual evenly each month.
- Dealership ad expense true-up:** Management estimates the monthly accrual for dealership advertising expenses based on prior year actual, and trues up to current year actual only at year-end. As such, this adjustment trues up the monthly accruals based on the actual expense per the dealership statements.

Net working capital and net debt

Net working capital – VDD adjustments (3/4)

Net working capital								
\$'000	As at				Average			
	Apr-19	Apr-20	Nov-20	Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21
Current assets								
Accounts receivable	4,792	3,995	4,506	4,111	4,666	4,607	4,567	4,561
Prepaid expenses and deposits	174	216	177	167	225	189	201	201
Due from shareholder	3	3	3	3	2	3	3	3
Current assets	4,969	4,214	4,685	4,280	4,893	4,799	4,770	4,765
Current liabilities								
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)	(4,541)	(4,558)	(5,307)	(5,489)
Deferred rent	(50)	(43)	(43)	(43)	(51)	(50)	(45)	(44)
Income taxes payable	(43)	(134)	(663)	(557)	(167)	(168)	(413)	(494)
Current liabilities	(5,039)	(5,255)	(6,771)	(6,075)	(4,758)	(4,775)	(5,765)	(6,027)
Net working capital, reported	(71)	(1,041)	(2,086)	(1,795)	135	24	(994)	(1,262)
<i>As % of TTM net sales</i>	<i>(0.2%)</i>	<i>(3.1%)</i>	<i>(5.8%)</i>	<i>(5.0%)</i>	<i>0.4%</i>	<i>0.1%</i>	<i>(2.8%)</i>	<i>(3.5%)</i>
VDD adjustments								
1 Income taxes payable	43	134	663	557	167	168	413	494
2 Prepaid financing costs	(12)	(7)	(6)	(6)	(11)	(12)	(8)	(7)
3 Due to / from shareholder	(3)	(3)	(3)	(3)	(2)	(3)	(3)	(3)
4 Employee receivables	(8)	(3)	(5)	(5)	(9)	(4)	(4)	(4)
5 Lloyds trust account	(95)	(110)	42	5	(42)	(65)	(23)	(3)
6 Misc. AR	(19)	(40)	(36)	(36)	(71)	(32)	(38)	(40)
7 Bonus accrual	-	-	(185)	(238)	(131)	(145)	(145)	(145)
8 Dealership ad expense true up	0	109	168	240	(34)	(27)	108	145
9 Deferred rent	50	43	43	43	51	50	45	44
10 Vacation accrual during COVID-19	-	-	83	62	-	-	29	40
11 Waterford management fees	52	52	52	52	12	56	41	50
12 Earn out accrual	70	54	54	54	227	49	55	55
13 Interest rate swap	479	818	818	818	45	512	705	761
14 Family Quickpay	249	248	290	342	249	245	283	302
15 Allowance for doubtful accounts	-	104	4	6	-	16	30	30
16 Commission expense true up	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]
17 Other non-recurring expenses	[+]	[+]	[+]	[+]	[+]	[+]	[+]	[+]
Total VDD adjustments	807	1,399	1,982	1,891	451	807	1,488	1,718
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<i>As % of TTM net sales</i>	<i>2.3%</i>	<i>1.1%</i>	<i>(0.3%)</i>	<i>0.3%</i>	<i>1.8%</i>	<i>2.4%</i>	<i>1.4%</i>	<i>1.3%</i>

Source: Management provided information; KPMG analysis

VDD component adjustments (cont'd)

- Deferred rent:** Represents liability incurred as a result of the rent-free period the Company received. The amount has been removed from net working capital as QofE adjustment #10 has trued up the deferred rent.
- Vacation accrual during COVID-19:** As a result of lockdown and travel restrictions imposed by the COVID-19 pandemic, the Company experienced a build-up of vacation accruals as employees reduced their vacation usage during this timeframe. This adjustment reflects a seasonally adjusted vacation accrual per FTE and reduce the excess accrual from normalized net working capital.
- Waterford management fees:** Removes all monthly accruals of related parties management fees, which are expected to be non-recurring going forward.
- Earn out accrual:** The Company has an earn out arrangement as part of the partial sale to Highland West. As earn out arrangement is non-operational in nature and relates to the current shareholders of the Company, the amounts have been removed from working capital and included as net debt.
- Interest rate swap:** As part of the Company's hedging strategy, it enters into interest rate swap to hedge the interest rate risk on its debts. Given the financial derivative is non-operating and relates to the Company's debt, the amounts have been removed from working capital and included as net debt.
- Family Quickpay:** Certain Family customers make direct payments to the carrier through Family's Quickpay system instead of through the Company. As part of the Company's month-end process, it posts an adjustments to reclassify the agency bill receivable to a cash clearing account but does not adjust the Family payable until the Company receives the commission from Family in the subsequent month, creating a rolling cut-off difference, which this adjustment removes.

Net working capital and net debt

Net working capital – VDD adjustments (4/4)

Net working capital								
\$'000	As at				Average			
	Apr-19	Apr-20	Nov-20	Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21
Current assets								
Accounts receivable	4,792	3,995	4,506	4,111	4,666	4,607	4,567	4,561
Prepaid expenses and deposits	174	216	177	167	225	189	201	201
Due from shareholder	3	3	3	3	2	3	3	3
Current assets	4,969	4,214	4,685	4,280	4,893	4,799	4,770	4,765
Current liabilities								
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)	(4,541)	(4,558)	(5,307)	(5,489)
Deferred rent	(50)	(43)	(43)	(43)	(51)	(50)	(45)	(44)
Income taxes payable	(43)	(134)	(663)	(557)	(167)	(168)	(413)	(494)
Current liabilities	(5,039)	(5,255)	(6,771)	(6,075)	(4,758)	(4,775)	(5,765)	(6,027)
Net working capital, reported	(71)	(1,041)	(2,086)	(1,795)	135	24	(994)	(1,262)
<i>As % of TTM net sales</i>	<i>(0.2%)</i>	<i>(3.1%)</i>	<i>(5.8%)</i>	<i>(5.0%)</i>	<i>0.4%</i>	<i>0.1%</i>	<i>(2.8%)</i>	<i>(3.5%)</i>
VDD adjustments								
1 Income taxes payable	43	134	663	557	167	168	413	494
2 Prepaid financing costs	(12)	(7)	(6)	(6)	(11)	(12)	(8)	(7)
3 Due to / from shareholder	(3)	(3)	(3)	(3)	(2)	(3)	(3)	(3)
4 Employee receivables	(8)	(3)	(5)	(5)	(9)	(4)	(4)	(4)
5 Lloyds trust account	(95)	(110)	42	5	(42)	(65)	(23)	(3)
6 Misc. AR	(19)	(40)	(36)	(36)	(71)	(32)	(38)	(40)
7 Bonus accrual	-	-	(185)	(238)	(131)	(145)	(145)	(145)
8 Dealership ad expense true up	0	109	168	240	(34)	(27)	108	145
9 Deferred rent	50	43	43	43	51	50	45	44
10 Vacation accrual during COVID-19	-	-	83	62	-	-	29	40
11 Waterford management fees	52	52	52	52	12	56	41	50
12 Earn out accrual	70	54	54	54	227	49	55	55
13 Interest rate swap	479	818	818	818	45	512	705	761
14 Family Quickpay	249	248	290	342	249	245	283	302
15 Allowance for doubtful accounts	-	104	4	6	-	16	30	30
16 Commission expense true up	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]	[+/-]
17 Other non-recurring expenses	[+]	[+]	[+]	[+]	[+]	[+]	[+]	[+]
Total VDD adjustments	807	1,399	1,982	1,891	451	807	1,488	1,718
Net working capital, VDD adjusted	736	357	(104)	96	586	831	494	456
<i>As % of TTM net sales</i>	<i>2.3%</i>	<i>1.1%</i>	<i>(0.3%)</i>	<i>0.3%</i>	<i>1.8%</i>	<i>2.4%</i>	<i>1.4%</i>	<i>1.3%</i>

Source: Management provided information; KPMG analysis

VDD component adjustments (cont'd)

- Allowance for doubtful accounts:** The Company has historically over accrued its bad debt expenses which would also impact the allowance for doubtful accounts (AFDA). PwC considered the trailing three months' AFDA as a percentage of agency bill receivable from Nov-20 to Jan-21 to be representative of a normalized level. Therefore, excess AFDA over the normalized level is adjusted for the TTM Jan-21 period.
- Commission expense true up:** Commissions payable from the Company's commission accruals is estimated annually at the beginning of the year and generally remains unchanged until the subsequent year. As a result, actual commissions payable may vary from the initial estimate month-to-month. Given the Company does not maintain an updated monthly accrual, PwC proposed a non-quantified adjustment for commissions payable.
- Other non-recurring expenses:** As part of PwC's QofE analysis, various shareholder-related and one-time expenses have been added back, which would generally impact working capital. Management represents that invoices are generally paid within 30 days and majority of the expenses added back would be settled intra-month. Therefore, PwC noted the impact to working capital from those expense addbacks would be insignificant but should be positive to net working capital.

Net working capital and net debt

Net debt (1/2)

Reported net debt as at 31-Jan-21 is \$(12.2) million, which increased to \$(13.7) million subsequent to diligence adjustments.

Net debt	
\$'000	31-Jan-21
Cash and cash equivalents	3,187
Term debt	(15,028)
Capital lease obligations	(390)
Debt and debt-like items	(15,418)
Net debt, reported	(12,231)
Diligence adjustments	
1 Interest rate swap	(818)
2 Income taxes payable	(557)
3 Earn out accrual	(54)
4 Deferred financing fees	(45)
5 Lloyds trust account	(5)
6 Due from shareholder	3
7 Employee receivables	5
Diligence adjustments	(1,472)
Net debt, adjusted	(13,703)
Other considerations	
8 Potential tax exposure on non-deductible expenses and other tax matters	[-]
9 Vacation accrual during COVID-19	[-]
10 Credit agreement with the Bank of Montreal	n.q.

Source: Management provided information; KPMG analysis

Overview

- Reported net debt is comprised of cash and cash equivalents, term debt, and capital lease obligations.
- Term debt balance represents the Company's financing facility with BMO, which is reported net of deferred financing fees. Refer to *Other considerations* on the next page for details.
- Capital lease obligations represent the Company's lease on leasehold improvement, office furniture, and office equipment.

Diligence adjustments

- Interest rate swap:** As part of the Company's hedging strategy, it enters into interest rate swap to hedge the interest rate risk on its financing facilities. Given the financial derivative relates to the Company's debt and is financing in nature, the amount has been included as a debt-like item.
- Income taxes payable:** Represents income-tax accruals for historical periods, which is considered as a debt-like item in the context of the Transaction.
- Earn out accrual:** Refers to the earnout obligation as part of the partial sale to Highland West.
- Deferred financing fees:** Term debt is reported net of the capitalized financing costs. This adjustment removes deferred financing costs from net debt to present gross term debt.
- Lloyds trust account:** Represents a trust account with Lloyds (included in Cash and cash equivalents) for amounts received on behalf of the carrier with an offsetting amount recorded in the due to carrier balance. Consistent with NWC adjustment #5 which included this amount in working capital to align with the treatment of the carrier receivable/payable, this adjustment removes the balance from net debt.
- Due from shareholder:** Consists of a net receivable position from shareholder as at 31-Jan-21. All shareholder-related balances are expected to be settled pre-close.
- Employee receivables:** Represent non-interest bearing employee loans and employer-paid learning and development costs for employees (subject to clawback provisions if the employees leave the Company).

Net working capital and net debt

Net debt (2/2)

Net debt	
\$'000	31-Jan-21
Cash and cash equivalents	3,187
Term debt	(15,028)
Capital lease obligations	(390)
Debt and debt-like items	(15,418)
Net debt, reported	(12,231)
Diligence adjustments	
1 Interest rate swap	(818)
2 Income taxes payable	(557)
3 Earn out accrual	(54)
4 Deferred financing fees	(45)
5 Lloyds trust account	(5)
6 Due from shareholder	3
7 Employee receivables	5
Diligence adjustments	(1,472)
Net debt, adjusted	(13,703)
Other considerations	
8 Potential tax exposure on non-deductible expenses and other tax matters	[-]
9 Vacation accrual during COVID-19	[-]
10 Credit agreement with the Bank of Montreal	n.q.

Source: Management provided information; KPMG analysis

Other considerations

8. **Potential tax exposure on non-deductible expenses and other tax matters:** We have identified a number of potential cash tax exposures. Refer to Tax key findings on page 12 for details.
9. **Vacation accrual during COVID-19:** As a result of lockdown and travel restrictions imposed by the COVID-19 pandemic, the Company experienced a build-up of vacation accruals as employees reduced their vacation usage during this timeframe. The excess vacation accrual of \$62,000 as at Jan 31, 2021 represents potential cash outflow of the Company if it needs to be paid out as any accrued amounts older than one year need to be paid out.
10. **Credit agreement with the Bank of Montreal**
 - The Company entered into a credit agreement with the Bank of Montreal on May 2, 2016, which had been subsequently amended for changes in the credit capacity. The latest amendment was executed on May 31, 2019, and listed Highland West (Allwest) Investment Limited Partnership, Highland West (Allwest) Co-invest Limited Partnership and Zalecorp Holdings Ltd. as the limited recourse guarantors, and James Beaulieu as the pledgor. Based on the terms of the agreement, the following are available to the Company:
 - Revolving credit facility of \$7,700,000;
 - Non-revolving term credit facility of approximately \$17,645,000;
 - Non-revolving term credit facility and/or equipment lease line of approximately \$1,869,000;
 - Demand treasury facility of \$2,500,000 for a hedge contract; and
 - Demand MasterCard facility of \$125,000.
 - The credit agreement contains change of control clauses, which we recommend Client to seek legal advice in the context of the Transaction.



Appendix

1. Engagement letter procedures
2. Reconciliation to Reviewed Financials
3. ICBC Commissions
4. ICBC Retention Rates
5. ICBC Rate Change
6. Private Auto and Replacement
7. Personal and Commercial by Type
8. Contingent Profit Commissions
9. Reported Salaries & Wages Analysis
10. Adjusted Income Statement
11. Stratified balance sheet
12. General tax compliance

Engagement letter procedures (1/2)

WORKPLAN

FINANCIAL DUE DILIGENCE

Unless otherwise noted, our work will focus on the consolidated financial performance and financial position for the financial years ended 2018 and 2019, and the trailing twelve months ("TTM") 2020 to the latest available date for Allwest Insurance Services Ltd. (the "Target").

Phase I – financial due diligence

1. Overview

Meet with Target's officers and management in order to develop an understanding of Target, including its:

- Finance function, financial reporting framework, and management reporting relationships; and
- Significant accounting policies and estimates and contemplated changes.
- Carrier relationships;
- Other third party relationships of importance to the business model of Target
- Comment on the nature and volume of audit differences (recorded and unrecorded adjustments).

2. Quality of earnings

Identify potential earnings before interest, taxes, depreciation, and amortization ("EBITDA") normalization items by considering the impact of:

- Read PwC's Sell Side Quality of Earnings report, discuss with PwC and comment on management's assessment of maintainable/normalized EBITDA, specifically evaluating management's proposed addbacks.
- Acquisitions/disposals, including office closings/openings;
- New/lost clients;
- Significant changes in contract terms with clients and/or carriers;
- Non-cash revenue and expenses;
- Set-up and release/reversal of provisions and reserves;
- Costs not at market rates and/or related party transactions, including "excess" compensation to management/shareholders;
- Related party transactions and charges and the potential impact on normalized earnings (as applicable);
- Period-over-period changes in accounting policies;
- Other potential one-time/non-recurring revenues, expenses, gains and losses included in reported results;
- Non-cash items for reconciliation to "operating cash flows".

3. Read the information in the electronic data room and identify any significant information gap.

Phase II – financial due diligence

4. Acquisitions/expansions

Gain an understanding of the financial terms and conditions the acquisitions/disposals/expansions recently undertaken by Target including unextinguished clauses and commitments.

- Obtain the underlying supporting analysis (i.e. pre-acquisition financial statements and underlying preparation assumptions or due diligence reports) of the impact of prior acquisitions and acquired producers on reported results.
- If applicable, obtain the underlying supporting analysis of the impact of other contemplated acquisitions on the historical reported results. Inquire of management regarding the status of these acquisitions, including expected closing dates, purchase price and structure of transaction of transaction
- Details of each earn-out agreement and historical tracking analysis;
- Expected obligation based on current/future performance of acquisitions.

5. Revenues and profitability

A. Gain an understanding of Target's revenue including:

- Terms of agreements with clients and carriers and changes historically and current/projected;
- Commissions structure including contingent commissions
- Service and other fees - consideration for nature, source, concentration by client, drivers (in terms of rates including changes therein, and volumes), and their respective cancellation provision, if any, with reference to carrier statements as relevant;
- Treatment of interest income;
- Sales, marketing, and advertising activities; and
- Other income - consideration for nature and source.

B. Gain an understanding of Target's cost base including:

- Nature and trends;
 - Fixed vs. variable considerations;
 - Employee compensation and remuneration arrangements by type, including: Base salary, Fringe benefits, Bonus, profit-share and performance pay, Draws on producer compensation, Deferred compensation, Target's producer partnership model, Golden parachute and change-in-control provisions.
 - Producer compensation and churn/retention benchmarking;
 - Deferred consideration provided to acquired producer groups;
 - Other contractual arrangements.
- C. If readily available, obtain a database of policies and/or contracts written, detailed historical premiums, commission revenue and commission expense for the last three years and year to date and make inquiries of management regarding the following:
- Clients (Client concentration, Industry concentration, Product mix, Commission rates, Client churn)
 - Producers (Producer concentration, Product mix, Commission)
 - Carriers (Carrier concentrations, Product mix, Premium volumes, Commission rates, Contingent commissions)

6. Working capital

Obtain and read an analysis of Target's historical working capital and inquire about:

- Definition of components of "net working capital"
- Potential adjustments that may impact potential historical working capital trends;
- Understand seasonality and cash conversion cycles and comment on the normal level of working capital required to support the business operations;
- Working capital composition: obtain, read, and comment on analysis of following items:
 - Accounts receivable including aging profile, allowance for doubtful accounts, days sales outstanding;
 - Supplier/customer deposits;

Engagement letter procedures (2/2)

- Prepaids & other including nature and composition of balances;
 - Accounts payable, accruals and corresponding estimates, premiums payable and aging, accrued compensation, and other current liabilities including, terms of trade with major suppliers, days payable outstanding and aging analysis;
 - Other premiums and commissions receivable and other assets and consider:
 - Aging analysis;
 - Carrier advances;
 - History of cancellation due to premium delinquency;
 - Allowance for uncollectible accounts and write-offs;
 - Prepaid expenses; and
 - Other accounts receivable
 - Other liabilities (composition and nature) including:
 - Float position and average balance, if applicable;
 - Trust cash balance, including Target's processes for monitoring ongoing fiduciary assets position.
 - e) Assist with the working capital peg mechanism as part of the Sale and Purchase Agreement.
7. **Capital expenditures**
Obtain and read an analysis of Target's fixed assets, capital expenditures, and inquire about:
- a) Historical capital expenditures divided between growth and maintenance;
 - b) Capitalization/expense methodology.
8. **Net debt**
Summarize and comment on net debt items presented by management and other potential debit-like items, including:
- a) Contingencies or commitments and other off-balance sheet liabilities;
 - b) Items included in working capital that may be considered as net debt (e.g. capex payables, stretched payables, unusual severance, unfunded benefit plans, etc.); and
 - c) Consider the impact of any proposed EBITDA adjustments on net debt.
9. **Commitments and contingencies**
Obtain and read monthly board package reports, if available, and comment on any contingent claims or liabilities including:
- a) Pending or threatened litigation, claims or investigations;
 - b) Errors & Omissions (E&O) claims;
 - c) Deferred investments in capital assets;
 - d) Incentive program;
 - e) Unfunded pension and post-retirement benefits;
 - f) Outstanding credit arrangements and outstanding letters of credit;
 - g) Onerous lease commitments;
 - h) Sales and purchase commitments or contracts;
 - i) Restricted assets or incurred liabilities otherwise not disclosed;
 - j) Inquire about change-in-control provisions in significant contracts, including employment and union contracts; supply agreements; debt agreements; and option, warrant, stockholder, preferred stock, and other equity-related agreements

Tax due diligence Additional Procedures

At a high-level and through inquiry, understand the Company's tax compliance function, including use of advisors, timing of returns filed etc.;

- Read, to the extent provided, the Company's tax returns for the previous two taxation years and comment on significant findings;
- Read the Company's Canadian income tax assessments and tax audit documentation for those years subject to assessment or re-assessment;
- Discuss with the Company to understand the status of significant tax transactions involving the Company, including acquisitions, dispositions, reorganizations and liquidations that may have had an impact on the current tax status and position of the Company;
- Discuss with the Company to understand the results of recent tax audits (corporate or indirect) and comment on the impact of the assessment/ re-assessment;
- Read notice of objections made to the Canadian taxation authorities and discuss with the Company's management;
- Based on inquiry, understand the status of the Company's tax compliance in relation to value added tax filings (HST/GST/PST); and
- Read, to the extent provided, the Company's indirect tax return filings for the previous two taxation years.
- To the extent significant matters are identified based on our procedures, we will provide you with a list of areas for further work/analysis to quantify the potential exposure and determine potential mitigation strategies.

Appendix 2

Reconciliation to Reviewed FS

Below is an income statement reconciliation between trial balances provided and reviewed financial statements, with a minor variance of \$50,000 in FY20 for one-time legal settlement income included as a VDD adjustment (QofE #10).

Reviewed Recon IS							Reviewed Recon BS						
\$'000	FY19			FY20			\$'000	30-Apr-19			30-Apr-20		
	Internal	Variance	Reviewed	Internal	Variance	Reviewed		Internal	Variance	Reviewed	Internal	Variance	Reviewed
Commissions	31,919	0	31,919	33,944	(0)	33,944	Assets						
Other	9	(0)	9	14	0	14	Cash	1,342	(249)	1,093	1,476	(248)	1,229
Revenue	31,928	(0)	31,928	33,958	0	33,959	Accounts receivable	4,792	(0)	4,792	3,995	0	3,995
Wages and employee benefits	(13,182)	0	(13,182)	(13,512)	0	(13,512)	Prepaid expenses and deposits	174	(0)	174	216	(0)	216
Commissions	(5,273)	0	(5,273)	(5,721)	0	(5,721)	Clue from shareholders	3	0	3	3	0	3
Advertising and promotion	(2,310)	0	(2,310)	(2,809)	0	(2,809)	Current assets	6,311	(249)	6,062	5,691	(248)	5,443
Rent	(1,179)	0	(1,179)	(1,252)	0	(1,252)	Property and equipment	1,153	(0)	1,153	1,205	0	1,205
Interest	(736)	0	(736)	(834)	(0)	(834)	Intangible assets	4,845	(0)	4,845	4,925	(0)	4,925
Management fees	(819)	0	(819)	(816)	(0)	(816)	Goodwill	26,477	0	26,477	26,477	0	26,477
Telephone	(448)	0	(448)	(494)	0	(494)	Total assets	38,786	(249)	38,537	38,297	(248)	38,050
Office	(625)	0	(625)	(430)	0	(430)	Liabilities and Shareholder's equity						
Computer	(371)	(0)	(371)	(397)	0	(397)	Accounts payable and accrued liabilities	(4,946)	249	(4,697)	(5,079)	248	(4,831)
Amortization of property and equipment	(334)	(0)	(334)	(339)	(0)	(339)	Deferred rent	(50)	(0)	(50)	(43)	(0)	(43)
Automotive	(245)	0	(245)	(274)	(0)	(274)	Income tax payable	(43)	(0)	(43)	(134)	(0)	(134)
Bank charges	(221)	0	(221)	(233)	0	(233)	Current portion of term debt	-	(1,909)	(1,909)	-	(1,470)	(1,470)
Professionag fees	(125)	0	(125)	(131)	(50)	(181)	Current portion of capital lease obligation	-	(177)	(177)	-	(213)	(213)
Insurance	(142)	0	(142)	(148)	0	(148)	Current liabilities	(5,039)	(1,837)	(6,876)	(5,255)	(1,435)	(6,691)
License, dues and subscription	(86)	(0)	(86)	(108)	(0)	(108)	Revolving loan	-	-	-	(1,900)	-	(1,900)
Travel	(121)	0	(121)	(99)	(0)	(99)	Term debt, net of deferred financing fees	(17,520)	1,909	(15,612)	(16,083)	1,470	(14,613)
Amortization of deferred charges	(56)	0	(56)	(63)	(0)	(63)	Capital lease obligation	(757)	177	(580)	(551)	213	(338)
Utilities	(28)	0	(28)	(42)	(0)	(42)	Total liabilities	(23,317)	249	(23,068)	(23,790)	248	(23,542)
Repairs and maintenance	(19)	(0)	(19)	(23)	(0)	(23)	Share capital	(5,186)	0	(5,186)	(105)	0	(105)
Expenses	(26,322)	0	(26,322)	(27,725)	(50)	(27,775)	Retained earnings	(10,282)	0	(10,282)	(14,402)	0	(14,402)
Earnings before other income (expenses)	5,606	0	5,606	6,233	(50)	6,183	Shareholder's equity	(15,469)	0	(15,469)	(14,508)	0	(14,508)
Bad debts	(51)	(0)	(51)	(172)	(0)	(172)	Liabilities and Shareholder's equity	(38,786)	249	(38,537)	(38,297)	248	(38,050)
Foreign exchange gain	13	0	13	9	(0)	9	Source: II.A.2 Final FS AllWest Insurance Services Ltd. April 30 2020 - Signed						
Loss on interest rate swaps	(410)	(0)	(410)	(339)	0	(339)							
Gain on sale of property and equipment	4	0	4	-	-	-							
Other income (expense)	(445)	(0)	(445)	(503)	0	(503)							
Earnings before income tax	5,161	(0)	5,161	5,731	(50)	5,681							
Income tax	(1,579)	0	(1,579)	(1,611)	0	(1,611)							
Net earnings before extraordinary item	3,583	(0)	3,583	4,120	(50)	4,070							

Appendix 3

ICBC Commissions (1/2)

The Company earns a majority of its commission revenues from ICBC. The majority of Allwest's ICBC commission revenue is earned on Extended/Optional coverage. The increase of \$4.8 million from FY19 to TTM Jan-21 is primarily due to the growth of renewal policy transactions and average commission per policy.

ICBC commissions								
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21	TTM Nov-20 vs. FY19		TTM Jan-21 vs. FY19	
					Var (\$)	Var (%)	Var (\$)	Var (%)
Commissions								
Fee-based	3,340	3,404	3,620	3,714	280	8.4%	374	11.2%
Premium-based	17,780	20,144	21,990	22,219	4,210	23.7%	4,439	25.0%
Total commissions	21,120	23,547	25,610	25,933	4,490	21.3%	4,813	22.8%
Premiums								
Basic	183,927	181,517	189,545	192,515	5,618	3.1%	8,588	4.7%
Extended coverage	186,107	209,395	224,980	224,810	38,874	20.9%	38,703	20.8%
Total premiums	370,034	390,912	414,525	417,325	44,492	12.0%	47,291	12.8%
Total policies	158,723	163,728	n.q.	n.q.				
Basic comm. as a % of total comm.	15.8%	14.5%	14.1%	14.3%				
New policy commission (\$)	8,249	8,829	8,976	8,990				
Renewal policy commission (\$)	11,519	13,438	15,282	15,553				

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

The aside table presents the commission split earned between fee-based commissions (fixed fee per transaction) and commissions based on a % of premium sold in the historical period to TTM Jan-21.

ICBC commission revenue by channel					As % of total			
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21
Dealers	9,804	9,998	10,068	10,081	46.4%	42.5%	39.3%	38.9%
Producers	6,708	7,954	9,494	9,847	31.8%	33.8%	37.1%	38.0%
Retail	2,919	3,349	3,202	3,083	13.8%	14.2%	12.5%	11.9%
Delivery	1,688	2,247	2,846	2,923	8.0%	9.5%	11.1%	11.3%
Total ICBC revenue by channel	21,120	23,547	25,610	25,933	100.0%	100.0%	100.0%	100.0%

Source: 15 ICBC Revenue by Channel (updated to Dec-20); Project Radcliffe trading datapack to Jan-21 vF.xlsx

Appendix 3

ICBC Commissions (2/2)

The below tables show a comparison of the 2021 ICBC productivity in 2021 as compared to the same period last year.

Productivity Comparison - 1-Feb-21 to 28-Feb-21												
New Plates				Renewals			Changes			Total Autoplan		
Date	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans
2021	3,796	536,933	141	7,527	902,716	120	8,415	107,089	13	19,738	1,546,738	78
2020	3,643	676,167	186	5,550	864,082	156	7,614	89,531	12	16,807	1,629,780	97
Change	153	(139,234)	(44)	1,977	38,634	(36)	801	17,558	1	2,931	(83,043)	(19)
Change %	4.2%	(20.6%)	(23.8%)	35.6%	4.5%	(23.0%)	10.5%	19.6%	8.2%	17.4%	(5.1%)	(19.2%)

Source: ICBC Numbers Feb 1-29 2021

Productivity Comparison - 1-Mar-21 to 31-Mar-21												
New Plates				Renewals			Changes			Total Autoplan		
Date	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans	# of Trans.	ICBC Rev.	Per Trans
2021	5,039	695,818	138	8,545	998,788	117	10,936	139,927	13	24,520	1,834,533	75
2020	3,170	565,276	178	7,836	1,294,825	165	7,361	86,367	12	18,367	1,946,468	106
Change	1,869	130,542	(40)	709	(296,037)	(48)	3,575	53,560	1	6,153	(111,935)	(31)
Change %	59.0%	23.1%	(22.6%)	9.0%	(22.9%)	(29.3%)	48.6%	62.0%	9.1%	33.5%	(5.8%)	(29.4%)

Source: Radcliffe updated ICBC results (Mar 1 – 31)

Appendix 4

ICBC Retention Rates

The Company has worked to improve its ICBC auto policy retention rates through Burnaby Call Centre, Door2Door delivery service and texting reminder programs throughout the pandemic. This has led to an increase in renewals and revenue in the historical period, as well as an increase to an average commission of \$161 per renewal.

Number of renewals				Revenue				Revenue / policy			
#	FY19	FY20	L4Q Jan-21	FY19	FY20	L4Q Jan-21		FY19	FY20	L4Q Jan-21	
Type of renewal											
Existing	68,385	72,580	81,877	9,868	11,519	13,363		144	159	163	
New	9,173	9,776	12,084	1,239	1,374	1,739		135	141	144	
Total	77,558	82,356	93,961	11,107	12,893	15,102		143	157	161	
Percentage change											
Existing	n.a.	6.1%	12.8%	n.a.	16.7%	16.0%		n.a.	10.0%	2.8%	
New	n.a.	6.6%	23.6%	n.a.	10.9%	26.5%		n.a.	4.0%	2.4%	
Total	n.a.	6.2%	14.1%	n.a.	16.1%	17.1%		n.a.	9.3%	2.7%	

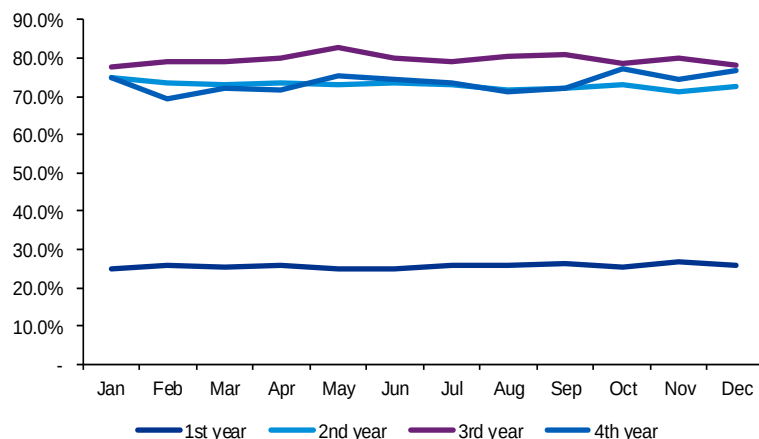
Source: II.E.1.11 1HFY21-Renewals - Growth Summary; AW Growth and Retention Update (to Mar-21)

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

The aside tables presents the increasing trend in number of renewal transactions, revenue, and revenue per policy between FY19 and TTM Jan-21.

The Company was able to increase its book of 'new' renewal customers during the pandemic by promotion on digital media, additional Delivery bookings and by the producers being more successful in finding additional customers.

Retention by cohort (calendar year)



Source: II.E.1.4 Monthly retention cohorts (Jan-14 to Dec-19)

The aside graph presents retention rates for policy cohorts year over year. For new policies written between 2015 and 2018, the average retention rate for the 1st year is 25.6%. Once the policy has been renewed once, the retention rates rise to between 72.9% to 79.8% (see below table). The majority of new policies are sourced from dealerships where it is convenient for customers to use the agent on site. Once the customers have the chance to renew, they may use another insurance broker for the transaction. If Target retains the policy after the first renewal period, it can typically maintain a much higher retention rate of over 70% in subsequent years.

Retention by cohort	
%	Overall
1st year	25.6%
2nd year	72.9%
3rd year	79.8%
4th year	73.5%

Source: II.E.1.4 Monthly retention cohorts (Jan-14 to Dec-19)

Appendix 5

ICBC Rate Change (1/2)

In 2021, ICBC expects to lower the price of both basic and optional coverage premiums. Consequently, ICBC proposes that fee rates on basic coverage will increase for brokers by 8%, while commission percentages on optional coverage will remain the same as 2020. ICBC informed Management that they should expect an overall 20% reduction in commissions, net of a one-time payment. A sensitivity of this impact was performed below, by analyzing the net impact including and excluding the one-time payment. Based on TTM Jan-21 figures, this would result in an reduction of approximately \$5.2 million to \$5.9 million in baseline ICBC Autoplan revenue (see Scenario 5a and 5b below).

ICBC - Scenario 1 (20% reduction in premiums)			
\$'000,000	Basic	Optional	Total
Premiums earned by ICBC	3,564	2,722	6,286
Premium split (2019/20) per ICBC Annual Report	56.7%	43.3%	100.0%
Scenario 1: Decrease in premium rate	15.0%	26.6%	20.0%

Source: <https://2021.icbc.com/next-steps>

ICBC - Scenario 2 (\$400 reduction in premiums)			
\$	Basic	Optional	Total
Avg. premium per policy (2019/20)	895	649	1,544
Avg. savings of 20%, or approximately \$400	134	266	400
Scenario 2: Decrease in premium rate	15.0%	40.9%	25.9%

Source: <https://2021.icbc.com/next-steps>

Commission sensitivity - Target					
\$'000	Basic	Optional	Total	Variance	Variance %
TTM Jan-21 base case	3,714	22,219	25,933	-	-
Scenario 1 - ICBC (20% reduction in overall premiums)	4,011	16,309	20,319	(5,613)	(21.6%)
Scenario 2 - ICBC (\$400 reduction in overall premiums)	4,011	13,121	17,132	(8,801)	(33.9%)
Scenario 3 - IBABC (37.6% reduction in optional premiums)	4,011	13,865	17,875	(8,057)	(31.1%)
Scenario 4 - Waypoint (30% overall decrease)	4,011	14,142	18,153	(7,780)	(30.0%)
Scenario 5a - Allwest (20% overall incl. ICBC payment)	4,011	16,735	20,746	(5,187)	(20.0%)
Scenario 5b - Allwest (20% overall excl. ICBC payment)	4,011	16,019	20,030	(5,903)	(22.8%)

Source: Management provided information

Scenario 5a is based on ICBC's estimation of a 20% overall reduction in commissions (**including** one-time ICBC payments), resulting in a potential \$5.2 million reduction in revenue, based on TTM Jan-21 sales.

Scenario 5b is based on ICBC's estimation of a 20% overall reduction in commissions (**excluding** one-time ICBC payments), resulting in a potential \$5.9 million reduction in revenue (23% overall), based on TTM Jan-21 sales.

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

Rate changes

- Scenario 1 applies a 20% overall and 15% basic reduction to ICBC's total premiums earned, resulting in an estimated 26.6% optional premium decrease.
- Scenario 2 applies a \$400 overall and 15% basic reduction to ICBC's average premiums, resulting in an estimated 40.9% optional premium decrease.
- Basic fee for brokers per transaction will increase by 8% from January 1, 2021. In addition, Target received \$716,000 of one-time payments from ICBC on March 15, 2021.
- Optional commission rates will remain the same as 2020. However, because Enhanced Care will introduce lower premiums, and the recent trend of fewer crashes may result in lower premiums for collision coverage, brokers may expect significant decreases in overall commission in 2021 and 2022. Some of these impacts begin in February 2021.
- ICBC has announced a 15% reduction in basic premiums and an average savings of 20% and up to \$400 on overall average premiums for drivers.
- Without further clarity provided by ICBC on the optional premium rate reduction, we have provided a range of scenarios to estimate the impact on Target's ICBC Autoplan commissions, based on TTM Jan-21 revenue figures.
- In the aside sensitivity table, all basic commission revenues are increased by 8%, while applying different reduction rates to optional commission revenues.
- Allwest's base case excluding ICBC's one-time payment (Scenario 5b) implies a 27.9% optional premium reduction, while Scenario 1 to 4 would lead to an overall commission reduction ranges from 21.6% to 33.9%.

Appendix 5

ICBC Rate Change (2/2)

Under scenario 5, we estimate a \$(3.7) million to \$(4.2) million indicative pro forma EBITDA impact. To calculate the EBITDA impact of the ICBC rate change, we estimate the ICBC Autoplan indicative contribution margin to be 70.6% in TTM Jan-21.

Indicative ICBC Autoplan contribution margin				
\$'000	FY19	FY20	TTM	TTM
			Nov-20	Jan-21
Revenue - ICBC Autoplan Commissions	21,176	23,854	25,633	25,960
Commissions expense - ICBC	(4,019)	(4,634)	(5,325)	(5,483)
Advertising - Automall	(1,539)	(2,066)	(2,197)	(2,162)
Total Autoplan costs	(5,558)	(6,700)	(7,522)	(7,645)
Autoplan margin	15,618	17,154	18,111	18,316
Autoplan margin %	73.8%	71.9%	70.7%	70.6%

We assume that salaries & wages would remain largely fixed and are therefore excluded from the estimation of ICBC Autoplan margin.

Commission sensitivity - indicative pro forma EBITDA		
\$'000	Revenue	EBITDA
Scenario 1 - ICBC (20% reduction in overall premiums)	(5,613)	(3,960)
Scenario 2 - ICBC (\$400 reduction in overall premiums)	(8,801)	(6,209)
Scenario 3 - IBABC (37.6% reduction in optional premiums)	(8,057)	(5,685)
Scenario 4 - Waypoint (30% overall decrease)	(7,780)	(5,489)
Scenario 5a - Allwest (20% overall incl. ICBC payment)	(5,187)	(3,659)
Scenario 5b - Allwest (20% overall excl. ICBC payment)	(5,903)	(4,164)

Source: Management provided information

A sensitivity analysis of the overall commissions reductions (either 20.0% or 22.8% net of ICBC's one-time payment) results in the following potential declines in EBITDA in TTM Jan-21:

- Scenario 5a: \$(3.7) million (including ICBC one-time payment)
- Scenario 5b: \$(4.2) million (excluding ICBC one-time payment)

The commission sensitivity is based on a transactional-level detail provided by the Company's broker management system, while the indicative contribution margin is based on trial balance detail. We note insignificant reconciliation differences with the trial balance.

Appendix 6

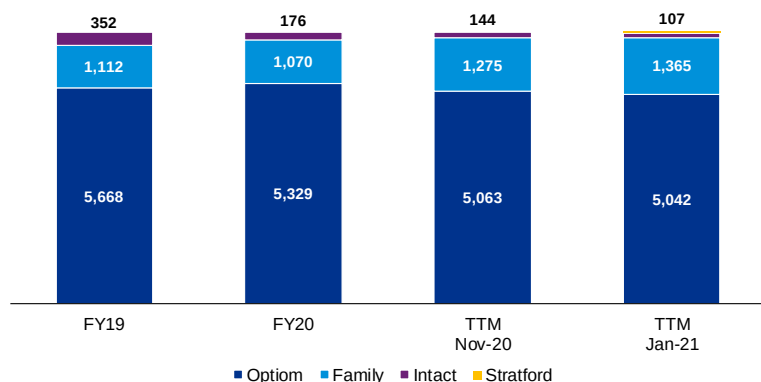
Private Auto and Replacement Cost

The Company's Optium replacement cost commissions shows a declining trend over the historical periods.

Private auto and replacement cost commissions					TTM Nov-20 vs. FY19		TTM Jan-21 vs. FY19	
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21	Var (\$)	Var (%)	Var (\$)	Var (%)
Commissions								
Optium	5,668	5,329	5,063	5,042	(605)	(10.7%)	(625)	(11.0%)
Family	1,112	1,070	1,275	1,365	163	14.7%	253	22.8%
Intact	352	176	144	107	(207)	(58.9%)	(245)	(69.6%)
Stratford	-	-	-	21	-	-	21	-
Total commissions	7,131	6,575	6,482	6,535	(649)	(9.1%)	(596)	(9.2%)
Premiums								
Optium	28,889	28,704	27,726	27,741	(1,162)	(4.0%)	(1,148)	(4.0%)
Family	5,588	5,468	6,411	6,871	823	14.7%	1,283	23.0%
Intact	1,954	980	802	594	(1,152)	(59.0%)	(1,360)	(69.6%)
Stratford	-	-	-	130	-	-	130	-
Total premiums	36,431	35,152	34,940	35,336	(1,491)	(4.1%)	(1,094)	(3.0%)
Optium commission %	19.6%	18.6%	18.3%	18.2%				
Family commission %	19.9%	19.6%	19.9%	19.9%				
Intact commission %	18.0%	18.0%	18.0%	18.0%				
Stratford commission %	-	-	-	15.8%				

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

Private auto commissions breakdown



Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

Appendix 7

P&C Commission by Type

The Company's non-auto P&C represents a relatively minor portion of the Company's business. It has grown steadily in the historical period (17.7% overall since FY19), while both personal and commercial commission % of premiums have stayed stable at 20.5% and 17.1% for TTM Jan-21, respectively.

P&C commissions					TTM Nov-20 vs. FY19		TTM Jan-21 vs. FY19	
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21	Var (\$)	Var (%)	Var (\$)	Var (%)
Commissions								
Commercial	554	581	622	632	69	12.4%	79	14.2%
Personal	1,435	1,569	1,669	1,703	235	16.4%	268	18.7%
Other	5	11	15	11	10	181.5%	5	99.3%
Total commissions	1,994	2,160	2,307	2,346	313	15.7%	352	17.7%
Premiums								
Commercial	3,220	3,527	3,757	3,703	537	16.7%	483	15.0%
Personal	6,877	7,609	8,169	8,288	1,291	18.8%	1,410	20.5%
Other	42	83	117	83	75	177.0%	41	96.9%
Total premiums	10,140	11,219	12,043	12,075	1,903	18.8%	1,934	19.1%
Commercial commission %	17.2%	16.5%	16.6%	17.1%				
Personal commission %	20.9%	20.6%	20.4%	20.5%				

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

Personal lines				
#	FY19	FY20	TTM Nov-20	TTM Jan-21
No. of policies	4,838	5,206	5,373	5,375
Total premiums (\$ in 000s)	6,877	7,609	8,169	8,288
Avg. premium (\$ / policy)	1,422	1,462	1,520	1,542

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

Commercial lines				
#	FY19	FY20	TTM Nov-20	TTM Jan-21
No. of policies	955	943	938	962
Total premiums (\$ in 000s)	3,220	3,527	3,757	3,703
Avg. premium (\$ / policy)	3,372	3,740	4,005	3,850

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

Appendix 8

Contingent Profit Commissions (CPC)

The Company has CPC arrangements with a number of carriers, and each agreement varies. It is typically based on multiple underwriting years of loss ratio, retention rate and new policy volumes.

Contingent profit commissions				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
Breakdown by carrier				
Optiom	387	351	344	376
Chubb	86	44	44	44
Gore	31	25	25	25
Other carriers	3	18	47	47
Total	507	437	459	491
Optiom premiums	28,889	28,704	27,726	27,741
P&C premiums	10,140	11,219	12,043	12,075
<i>Optiom CPC as a % of premiums</i>	<i>1.3%</i>	<i>1.2%</i>	<i>1.2%</i>	<i>1.4%</i>
<i>P&C CPC as a % of premiums</i>	<i>1.2%</i>	<i>0.8%</i>	<i>1.0%</i>	<i>1.0%</i>

PwC notes this analysis is based on a transactional-level detail provided by the Company's broker management system, and notes insignificant reconciliation differences with the trial balance.

Source: Project Radcliffe VDD Datapack (QoE) vF.xlsx; Project Radcliffe trading datapack to Jan-21 vF.xlsx

Appendix 9

Reported Salaries & Wages Analysis

Below is a summary of the reported salaries & wages analysis for the Company in the historical period. Reported salaries & wages declined by \$181,000 between FY20 and TTM Jan-21, mainly due to people taking unpaid leaves of absence during COVID-19. Management asserts that headcount and associated costs are a step function and feels confident there is room for revenue growth at this headcount level.

Payroll analysis				
\$'000	FY19	FY20	TTM Nov-20	TTM Jan-21
KPIs				
Salaries and wages	(11,681)	(11,746)	(11,430)	(11,565)
Commission	(5,272)	(5,719)	(6,393)	(6,572)
Benefits	(1,388)	(1,425)	(1,438)	(1,501)
Payroll tax	(113)	(341)	(338)	(329)
Payroll expenses	(18,453)	(19,231)	(19,599)	(19,967)
As % of total				
Salaries and wages	63.3%	61.1%	58.3%	57.9%
Commission	28.6%	29.7%	32.6%	32.9%
Benefits	7.5%	7.4%	7.3%	7.5%
Payroll tax	0.6%	1.8%	1.7%	1.6%
As % of revenue				
Salaries and wages	36.6%	34.6%	31.9%	31.9%
Commission	16.5%	16.8%	17.9%	18.1%
Benefits	4.3%	4.2%	4.0%	4.1%
Payroll tax	0.4%	1.0%	0.9%	0.9%
Payroll expenses	57.8%	56.6%	54.8%	55.1%
Average headcount	206	238	248	250
Payroll expenses per FTE				
Salaries and wages	(56.6)	(49.4)	(46.1)	(46.2)
Commission	(25.5)	(24.1)	(25.8)	(26.3)
Benefits	(6.7)	(6.0)	(5.8)	(6.0)
Payroll tax	(0.5)	(1.4)	(1.4)	(1.3)
Payroll expenses	(89.4)	(80.9)	(79.1)	(79.8)

Source: Management provided information; KPMG analysis

Salaries & wages have declined while commission expense increased as a percentage of revenue due to the Company's production mix shift (increasing producers earning commission on renewals).

Adjusted Income Statement, potentially adjusted

The below table is an adjusted income statement, potentially adjusted (excluding VDD pro forma).

Adjusted income statement									
\$'000	Potentially adjusted				As a % of revenue				
	FY19	FY20	TTM Nov-20	TTM Jan-21	FY19	FY20	TTM Nov-20	TTM Jan-21	
Commissions	31,919	33,944	35,780	36,256	100.0%	100.0%	100.0%	100.0%	
Other income	3	3	1	1	0.0%	0.0%	0.0%	0.0%	
Revenue	31,922	33,947	35,780	36,256	100.0%	100.0%	100.0%	100.0%	
Wages and employee benefits	(13,060)	(13,385)	(13,042)	(13,219)	(40.9%)	(39.4%)	(36.5%)	(36.5%)	
Commissions	(5,368)	(5,758)	(6,477)	(6,637)	(16.8%)	(17.0%)	(18.1%)	(18.3%)	
Advertising and promotion	(2,028)	(2,465)	(2,357)	(2,345)	(6.4%)	(7.3%)	(6.6%)	(6.5%)	
Rent	(1,180)	(1,259)	(1,289)	(1,276)	(3.7%)	(3.7%)	(3.6%)	(3.5%)	
Telephone	(420)	(482)	(447)	(456)	(1.3%)	(1.4%)	(1.2%)	(1.3%)	
Office	(420)	(427)	(443)	(386)	(1.3%)	(1.3%)	(1.2%)	(1.1%)	
Computer	(371)	(397)	(395)	(388)	(1.2%)	(1.2%)	(1.1%)	(1.1%)	
Automotive	(265)	(271)	(278)	(280)	(0.8%)	(0.8%)	(0.8%)	(0.8%)	
Bank charges	(221)	(233)	(249)	(252)	(0.7%)	(0.7%)	(0.7%)	(0.7%)	
Professional fees	(50)	(41)	(66)	(94)	(0.2%)	(0.1%)	(0.2%)	(0.3%)	
Bad debts	(28)	(22)	(8)	-	(0.1%)	(0.1%)	(0.0%)	-	
Insurance	(84)	(95)	(94)	(93)	(0.3%)	(0.3%)	(0.3%)	(0.3%)	
License, dues and subscriptions	(86)	(108)	(117)	(127)	(0.3%)	(0.3%)	(0.3%)	(0.4%)	
Travel	(40)	(50)	(31)	(25)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	
Utilities	(28)	(42)	(34)	(30)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	
Repairs and maintenance	(19)	(23)	(33)	(40)	(0.1%)	(0.1%)	(0.1%)	(0.1%)	
Total Expenses	(23,667)	(25,058)	(25,361)	(25,648)	(74.1%)	(73.8%)	(70.9%)	(70.7%)	
EBITDA (excl. Mgmt fees & FX)	8,255	8,890	10,419	10,609	25.9%	26.2%	29.1%	29.3%	
Management fees	(819)	(816)	(849)	(858)	(2.6%)	(2.4%)	(2.4%)	(2.4%)	
Gain/losses (FX, interest rate swap, sale of property)	(393)	(330)	(336)	(336)	(1.2%)	(1.0%)	(0.9%)	(0.9%)	
Depreciation & amortization	(334)	(339)	(416)	(449)	(1.0%)	(1.0%)	(1.2%)	(1.2%)	
Net interest income/(expense)	(786)	(886)	(709)	(654)	(2.5%)	(2.6%)	(2.0%)	(1.8%)	
Depreciation, Interest, Mgmt fees & FX	(2,332)	(2,371)	(2,310)	(2,296)	(7.3%)	(7.0%)	(6.5%)	(6.3%)	
EBIT	5,923	6,519	8,110	8,312	18.6%	19.2%	22.7%	22.9%	
Income Tax	(1,579)	(1,611)	(1,987)	(2,038)	(4.9%)	(4.7%)	(5.6%)	(5.6%)	
Net Income	4,345	4,909	6,123	6,275	13.6%	14.5%	17.1%	17.3%	

Source: Management provided information; KPMG analysis

Advertising and promotion

includes Meals & Entertainment, as well as dealership arrangements and business development costs.

Agents are placed directly in many dealerships to originate new policies. The Company compensates dealerships based on advertising arrangements tied to commission revenue generated. Increases in the historical period are due to an increase in activity and a formalization of dealership arrangements.

The monthly payment is determined by taking the revenue generated in the month less an agreed upon operating expense (typically 35-60%), covering agent costs, and distributing half of the remaining amount to the dealership.

Most other promotional activities have been normalized in QofE.

Appendix 11

Stratified balance sheet

The below table is a stratified balance sheet. As at 31-Jan-21, the Company has reported net working capital of \$(1.8) million and reported net debt of \$(12.2) million.

Stratified balance sheet								
\$'000	As At				As at 31-Jan-21			
	30-Apr-19	30-Apr-20	30-Nov-20	31-Jan-21	NWC	Net Debt	Infra	Others
Assets								
Cash and cash equivalents	1,342	1,476	3,390	3,187	-	3,187	-	-
Accounts receivable	4,792	3,995	4,506	4,111	4,111	-	-	-
Shareholder Loan	3	3	3	3	3	-	-	-
Prepaid expenses and deposits	174	216	177	167	167	-	-	-
Current Assets	6,311	5,691	8,075	7,467	4,280	3,187	-	-
Goodwill	26,477	26,477	26,477	26,477	-	-	-	26,477
Intangible assets	4,845	4,925	5,037	5,031	-	-	-	5,031
Property and equipment	1,153	1,205	1,156	1,128	-	-	1,128	-
Long Term Assets	32,475	32,607	32,670	32,636	-	-	1,128	31,508
Total Assets	38,786	38,297	40,745	40,104	4,280	3,187	1,128	31,508
Liabilities and Shareholder's fund								
Accounts payable and accrued liabilities	(4,946)	(5,079)	(6,065)	(5,475)	(5,475)	-	-	-
Deferred rent	(50)	(43)	(43)	(43)	(43)	-	-	-
Due to shareholder	-	-	-	-	-	-	-	-
Income Tax Payable	(43)	(134)	(663)	(557)	(557)	-	-	-
Current Liabilities	(5,039)	(5,255)	(6,771)	(6,075)	(6,075)	-	-	-
Banker's acceptance, net of deferred financing fees	(17,520)	(16,083)	(15,385)	(15,028)	-	(15,028)	-	-
Capital lease obligations	(757)	(551)	(426)	(390)	-	(390)	-	-
Revolving Loan - \$5.2M	-	(1,900)	-	-	-	-	-	-
Long Term Liabilities	(18,277)	(18,534)	(15,811)	(15,418)	-	(15,418)	-	-
Total Liabilities	(23,317)	(23,790)	(22,582)	(21,493)	(6,075)	(15,418)	-	-
Net assets	15,469	14,508	18,163	18,611	(1,795)	(12,231)	1,128	31,508

Source: Management provided information; KPMG analysis

General tax compliance

Tax compliance status

- The federal and provincial tax returns of Target will, in general terms, and subject to certain exceptions noted below, become statute-barred 3 years from the original notice of assessment for CCPCs.
- Based on the NOAs provided, we estimate that for income tax purposes, taxation years from FY18 should generally be open for reassessment.
- Sales tax returns become normally closed 4 years after the later of the day such returns are filed and the day such returns are due to be filed. However, where no tax returns have been filed, all applicable years remain open for reassessment.
- Payroll tax returns for Canada Pension Plan contributions become normally closed 4 years from the end of the calendar year, and payroll tax returns for Employment Insurance premiums become normally closed 3 years from the end of the calendar year.
- We note that taxation authorities may re-open a taxation year otherwise statute-barred where the taxpayer has made misrepresentations that are attributable to neglect, carelessness, or willful default, or has committed any fraud in filing a return for the year.
- A taxation year that has been audited may still be adjusted if the adjustments fall within the noted time limits or a waiver extending the reassessment period has been signed. Management represented that no such waiver has been filed. Management also represented that all required tax returns, including income tax, payroll, withholding tax and information returns have been filed and all remittances have been timely made.

Tax audits

- Management represented that Target has not been subject to any audits, information requests or other queries from the tax authorities (i.e., income tax, payroll, transfer pricing, sales tax, etc.) in recent years.

Third party tax advisors

- We understand the compliance roles and responsibilities as they pertain to Canadian tax are as depicted in the table below.

Tax compliance - roles and responsibilities		
	Internal responsibility	External advisor
Corporate tax compliance		✓ Smythe LLP
Indirect tax compliance	✓	✗
Payroll tax compliance	✓	✗

Source: Responses from Management

Note: ✓ ✗ = Involved / No involvement

- Target appears to have received minimal income tax and indirect tax advice to date.

Acquisition of control rules

- When Target is acquired, there will be an acquisition of control for Canadian income tax purposes. The AOC rules will generally result in a deemed taxation year-end for Target immediately before the acquisition. Corporate income tax returns for the deemed year-end will be due within 6 months after the deemed year-end. Final tax payments will be due 2 months after the deemed year-end.
- The AOC rules will generally result in the realization of any inherent losses on foreign exchange and certain assets, as well as a write-down of assets to their FMV. Furthermore, existing NOLs will be restricted, and any previously unutilized capital or property losses will expire unless utilized.
- As at FY20, Target did not have any NOLs or capital loss carryforwards.

Glossary (1/2)

\$	Canadian dollar	FMV	Fair market value
\$'000	Thousands of Canadian dollars	FS	Financial statements
AFDA	Allowance for Doubtful accounts	FTE	Full-time equivalent
AOC	Acquisition of control	FX	Foreign exchange
AP	Accounts payable	FYXX	Fiscal year ended April 30, 20XX
AR	Accounts receivable	GST/HST	Goods and services tax/Harmonized sales tax
ASPE	Accounting Standards for Private Enterprises	IFC	Intact Financial Corporation
BC	British Columbia	ICBC	Insurance Corporation of British Columbia
BCUC	The British Columbia Utilities Commission	INA	Information not available
BMO	Bank of Montreal	IS / P&L	Income statement
BS	Balance sheet	IT	Information technology
CAD	Canadian dollars	ITA	Income Tax Act (Canada)
Capex	Capital expenditures	ITC	Input Tax Credit
CCPC	Canadian Controlled Private Corporation	KPI	Key performance indicator
CFO	Chief Financial Officer	KPMG or we	KPMG LLP
Client / You	Navacord Corp.	L4Q	Last 4 quarters
COGS	Cost of goods sold	LFI	Listed Financial Institution
cont'd	Continued	LLP	Limited liability partnership
COO	Chief operating officer	M&E	Meals & entertainment
CPA	Chartered Professional Accountant	Management / Mgmt	Management of Target
CPC	Contingent profit commission	n.a	Not applicable
CRA	Canada Revenue Agency	n.q.	Not quantified
EBITDA	Earnings before interest, taxes, depreciation, and amortization	N/A	Not applicable
excl.	Excluding	NOA	Notice of Assessment
FDD	Financial due diligence	NWC	Net working capital

Glossary (2/2)

P&C	Property and casualty
PST	Provincial sales tax
PwC Reports	Sell-side quality of earnings report of December 20, 2020 and sell-side due diligence report – Nov-20 updated supplement on January 20, 2021 prepared by PwC
QofE	Quality of earnings
RIBO	Registered Insurance Brokers of Ontario
SPA	Share Purchase Agreement
Target	AllWest Insurance Services Ltd.
Tax Advisor	Smythe LLP
TB	Trial balance
TTM Jan-21	Trailing-twelve-month period ending January 31, 2021
TTM Nov-20	Trailing-twelve-month period ending November 30, 2020
Var	Variance
VDD	Vendor due diligence
VDR	Virtual Data Room
VP	Vice president
YoY	Year-over-year



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